DALLAH HEALTHCARE COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 202**5**
together with the
INDEPENDENT AUDITOR’S REPORT

Contents

KPMG Professional Services Company
Roshn Front, Airport Road
P.O. Box 92876
Riyadh 11663
Kingdom of Saudi Arabia
Commercial Registration No 1010425494

Headquarters in Riyadh

شركة كي بي إم جي للاستشارات المهنية مساهمة مهنية
واجهة روشن، طريق المطار
صندوق بريد ٩٢٨٧٦
الرياض ١١٦٦٣
المملكة العربية السعودية
سجل تجاري رقم ١٠١٠٤٢٥٤٩٤

المركز الرئيسي في الرياض

Independent Auditor's Report

To the Shareholders of Dallah Healthcare Company (Saudi Joint Stock Company)

Opinion

We have audited the consolidated financial statements of Dallah Healthcare Company ("the Company") and its subsidiaries ("the Group"), which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, and notes to the consolidated financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), that is endorsed in the Kingdom of Saudi Arabia, as applicable to audits of the financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code's requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Independent Auditor's Report

To the Shareholders of Dallah Healthcare Company (Saudi Joint Stock Company) (continued)

Key Audit Matters (continued)

Revenue Recognition – Estimate of variable consideration

Refer Note 4(o) and 3(a) for the accounting estimate and policy related to revenue recognition and Note 25 for related disclosure.

The key audit matter	How the matter was addressed in our audit
During the year ended 31 December 2025, the Group recognized total revenue of SR 4,066 million (2024: SR 3,206 million). The Group recognizes revenue upon satisfaction of performance obligations attached to medical and related services, net of variable consideration (discounts and expected rejection). Certain contracts with customers include variable considerations in the form of prompt payment discount or any expected discounts for some of the services provided. Significant accounting judgments, estimates and assumptions are made by the management to determine the variable consideration. Revenue recognition is considered as a key audit matter due to the existence of risks associated with the amount of revenues and judgments made by the management to determine the variable consideration.	Our procedures performed included, among others, the following: • Assessed the appropriateness of the Group's revenue recognition accounting policies in context of variable consideration, by considering the requirements of the relevant accounting standards; • Evaluated the appropriateness of significant accounting judgements and estimation made by the management to determine variable consideration; • Obtained a detailed understanding of the management's process established for estimation of variable consideration relating to medical rejections; • Evaluated the design and implementation of controls over revenue including identification of anti-fraud controls. • Performed a retrospective review of actual claims settled (on a sample basis) against original gross claims to assess the reasonableness of rejection rates used by the management; • Evaluated the reliability of the data by testing the accuracy and completeness of data; • Performed substantive analytical procedures over revenue including trend and predictive analysis and perform test of details by inspecting invoices and other supporting documents, on a sample basis, to assess that they were accurately recorded in the correct period; • Performed cut-off procedures on revenue recognition to assess whether revenue is accurately recorded in the correct accounting period; • Assessed a sample of journal entries selected based on pre-defined high-risk criteria, and inspected underlying supporting documents; and • Assessed the adequacy of relevant disclosures in the consolidated financial statements.

Independent Auditor's Report

To the Shareholders of Dallah Healthcare Company (Saudi Joint Stock Company) (continued)

Key Audit Matters (continued)

Expected Credit Losses on trade receivables

Refer Note 4(f) and 3(b) for the accounting estimate and policy related to loss allowance based on expected credit losses ("ECLs") and Note 14 for related disclosure.

The key audit matter	How the matter was addressed in our audit
As at 31 December 2025, the carrying value of trade receivable amounted to SR 1,196 million (2024: SR 775.3 million). The impairment loss allowance based on ECLs on these receivables amounted to SR 135.6 million (2024: SR 83.4 million). The Group's management has applied a simplified ECL model to determine the allowance for impairment of trade receivables. The ECL model involves the use of various assumptions and study of historical trends. We considered this a key audit matter due to the judgements and estimation involved in assessing the recoverability of outstanding trade receivable and determining the impairment thereon as per the requirement of IFRS 9 *Financial Instruments.*	Our procedures performed, included, among others, the following: • Obtained an understanding of management's processes, systems and controls over trade receivables; • Evaluated the appropriateness of the accounting policies of the Company and evaluating these against the requirements of FRS 9 *Financial Instruments*; • Evaluated the reasonableness of management's key judgements and estimates made, including selection and application of methods, models, significant assumptions, data sources and selection of the point estimate and retrospective testing; • sEvaluated the competence of management expert and obtained audit evidence over completeness, accuracy and relevance of data shared with management expert; • Involved KPMG's own specialist to evaluate and challenge the assumptions made by the management expert in the model; • Tested the basis of specific provisions, on a sampling basis, based on historic data, ageing and collection trends; and • Evaluated the completeness, accuracy and relevance of disclosures, including disclosures on assumptions about the future, and other major sources of estimation uncertainty in the consolidated financial statements.

Independent Auditor's Report

To the Shareholders of Dallah Healthcare Company (Saudi Joint Stock Company) (continued)

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the consolidated financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, when made available to us, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, the applicable requirements of the Regulations for Companies and Company's By-laws and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, i,e the Board of Directors, are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. 'Reasonable assurance' is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

– Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.

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Independent Auditor's Report

To the Shareholders of Dallah Healthcare Company (Saudi Joint Stock Company) (continued)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements (continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, then we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit of Dallah Healthcare Company ("the Company") and its subsidiaries ("the Group").

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

KPMG Professional Services Company

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Lic No. 46
ترخيص رقم ٤٦
C.R. 1010425494
س.ت ١٠١٠٤٢٥٤٩٤
R : 2
KPMG
KPMG Professional Services

Fahad Mubark Aldossari
License No. 469

Riyadh on: 22 Ramadan 1447H
Corresponding to: 11 March 2026

DALLAH HEALTHCARE COMPANY (A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
(All amounts in Saudi Riyals unless otherwise stated)

	Notes	**As at 31 December 2025**	As at 31 December 2024
ASSETS			
Non-current assets			
Property and equipment	6	**4,480,247,213**	3,172,930,247
Right-of-use assets	7	**171,676,156**	131,299,997
Intangible assets and goodwill	8	**704,495,008**	199,142,166
Equity-accounted investees	9	**1,833,559,643**	1,605,635,532
Financial assets at fair value through other comprehensive income	10	**875,932**	997,504
Non-current assets		**7,190,853,952**	5,110,005,446
Current assets			
Inventories	11	**359,678,478**	257,680,697
Prepayments and other current assets	12	**162,209,193**	162,614,396
Due from related parties and others	13	**6,649,339**	9,411,089
Unbilled revenue		**8,926,101**	11,763,873
Trade receivables	14	**1,196,422,012**	775,300,018
Cash and cash equivalents	15	**210,565,408**	166,324,649
Assets held for sale	16	**--**	118,500,000
Current assets		**1,944,450,531**	1,501,594,722
Total assets		**9,135,304,483**	6,611,600,168
EQUITY AND LIABILITIES			
Equity			
Share capital	1 , 32(a)	**1,015,747,690**	976,811,660
Share premium	1 , 32(b)	**1,475,976,054**	1,027,432,988
Statutory reserve	4(v)	**93,614,972**	93,614,972
Treasury shares	1	**(74,021,614)**	(60,455,136)
Retained earnings		**1,574,320,480**	1,434,282,423
Fair value reserve	10	**(3,252,208)**	(3,130,637)
Equity attributable to owners of the Company		**4,082,385,374**	3,468,556,270
Non-controlling interests	17	**37,645,990**	278,463,658
Total equity		**4,120,031,364**	3,747,019,928
LIABILITIES			
Non-current liabilities			
Long-term murabaha financing	18	**2,942,933,467**	1,188,059,098
Long-term lease liabilities	19	**125,950,619**	91,973,456
Employee benefits	20	**374,341,690**	278,177,982
Long-term payables		**1,424,772**	2,016,666
Non-current liabilities		**3,444,650,548**	1,560,227,202
Current liabilities			
Short-term murabaha financing	18	**615,413,564**	527,710,016
Current portion of long-term murabaha financing	18	**204,235,856**	181,086,034
Short-term lease liabilities	19	**45,490,047**	34,143,051
Trade payables and others	21	**410,047,867**	318,352,924
Due to related parties and others	13	**1,921,495**	1,876,081
Accrued expenses and other current liabilities	22	**271,585,715**	206,368,336
Provision for zakat	24	**21,928,027**	34,816,596
Current liabilities		**1,570,622,571**	1,304,353,038
Total liabilities		**5,015,273,119**	2,864,580,240
Total equity and liabilities		**9,135,304,483**	6,611,600,168

The accompanying notes from 1 to 37 form an integral part of these consolidated financial statements

CFO	CEO	CHAIRMAN
Amine Hariz	Ahmad Saleh Babaeer	Tarek Othman Alkasabi

DALLAH HEALTHCARE COMPANY (A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF PROFIT OR LOSS
(All amounts in Saudi Riyals unless otherwise stated)

	Notes	For the year ended 31 December 2025	31 December 2024
Revenue	25	**4,066,888,893**	3,205,733,994
Cost of sales		**(2,614,547,214)**	(1,998,894,226)
Gross profit		**1,452,341,679**	1,206,839,768
Selling and marketing expenses	26	**(107,061,006)**	(68,598,312)
General and administrative expenses	27	**(739,701,632)**	(565,788,481)
Impairment loss on trade receivables	14	**(49,626,956)**	(30,396,617)
Other income	28	**89,468,795**	25,066,630
Operating profit		**645,420,880**	567,122,988
Finance cost	18	**(147,595,450)**	(106,692,025)
Group share of results from equity accounted investees	9	**51,701,756**	42,967,767
Profit before zakat		**549,527,186**	503,398,730
Zakat	24	**(8,990,789)**	(18,222,044)
Profit for the year		**540,536,397**	485,176,686
Profit for the year attributable to:			
Owners of the Company		**538,268,320**	471,202,060
Non-controlling interests	17	**2,268,077**	13,974,626
		540,536,397	485,176,686
Earnings per share	29	**5.32**	4.83

The accompanying notes from 1 to 37 form an integral part of these consolidated financial statements

CFO	CEO	CHAIRMAN
Amine Hariz	Ahmad Saleh Babaeer	Tarek Othman Alkasabi

DALLAH HEALTHCARE COMPANY (A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
(All amounts in Saudi Riyals unless otherwise stated)

	Notes	For the year ended 31 December 2025	31 December 2024
Profit for the year		**540,536,397**	485,176,686
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Revaluation of financial assets at fair value through other comprehensive income		**(121,571)**	630,999
Re-measurement of employees benefit liability	20	**(6,934,048)**	1,692,285
Group's share of other comprehensive income from equity accounted investees		**1,502,108**	1,025,044
Items that will be reclassified to profit or loss			
Group's share other comprehensive loss from equity accounted investees		**--**	(1,331,276)
Other comprehensive (loss) / income for the year		**(5,553,511)**	2,017,052
Total comprehensive income for the year		**534,982,886**	487,193,738
Total comprehensive income attributable to:			
Owners of the Company		**533,568,432**	471,785,103
Non-controlling interests	17	**1,414,454**	15,408,635
		534,982,886	487,193,738

The accompanying notes from 1 to 37 form an integral part of these consolidated financial statements

CFO	CEO	CHAIRMAN
Amine Hariz	Ahmad Saleh Babaeer	Tarek Othman Alkasabi

DALLAH HEALTHCARE COMPANY (A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
(All amounts in Saudi Riyals unless otherwise stated)

	Share capital	Share premium	Statutory reserve	Treasury shares	Retained earnings	Fair value reserve	Total shareholders' equity	Non-controlling interests	Total equity
For the year ended 31 December 2025									
As at 1 January 2025	**976,811,660**	**1,027,432,988**	**93,614,972**	**(60,455,136)**	**1,434,282,423**	**(3,130,637)**	**3,468,556,270**	**278,463,658**	**3,747,019,928**
Profit for the year	--	--	--	--	538,268,320	--	538,268,320	2,268,077	540,536,397
Other comprehensive loss for the year	--	--	--	--	(4,578,317)	(121,571)	(4,699,888)	(853,623)	(5,553,511)
Total comprehensive income / (loss) for the year	--	--	--	--	533,690,003	(121,571)	533,568,432	1,414,454	534,982,886
Transactions with owners of the Company:									
Capital increase (note 1,32a)	38,936,030	--	--	--	--	--	38,936,030	--	38,936,030
Share premium increase (note 1,32b)	--	448,543,066	--	--	--	--	448,543,066	--	448,543,066
Purchase of treasury shares (note 1)	--	--	--	(13,566,478)	--	--	(13,566,478)	--	(13,566,478)
Dividends (note 23)	--	--	--	--	(202,377,536)	--	(202,377,536)	(6,204,000)	(208,581,536)
Changes in ownership interests									
Movement in non-controlling interest (Note 17)	--	--	--	--	--	--	--	(236,028,122)	(236,028,122)
Change in Retained earnings due to step acquisition (Note 17)	--	--	--	--	(191,274,410)	--	(191,274,410)	--	(191,274,410)
As at 31 December 2025	**1,015,747,690**	**1,475,976,054**	**93,614,972**	**(74,021,614)**	**1,574,320,480**	**(3,252,208)**	**4,082,385,374**	**37,645,990**	**4,120,031,364**
For the year ended 31 December 2024									
As at 1 January 2024	976,811,660	1,027,432,988	93,614,972	--	1,107,957,999	(2,424,652)	3,203,392,967	269,259,023	3,472,651,990
Profit for the year	--	--	--	--	471,202,060	--	471,202,060	13,974,626	485,176,686
ther comprehensive income / (loss) for the year	--	--	--	--	1,289,028	(705,985)	583,043	1,434,009	2,017,052
Total comprehensive income / (loss) for the year	--	--	--	--	472,491,088	(705,985)	471,785,103	15,408,635	487,193,738
Transactions with owners of the Company:									
Purchase of treasury shares (note 1)	--	--	--	(60,455,136)	--	--	(60,455,136)	--	(60,455,136)
Dividends (note 23)	--	--	--	--	(146,166,664)	--	(146,166,664)	(6,204,000)	(152,370,664)
As at 31 December 2024	976,811,660	1,027,432,988	93,614,972	(60,455,136)	1,434,282,423	(3,130,637)	3,468,556,270	278,463,658	3,747,019,928

The accompanying notes from 1 to 37 form an integral part of these consolidated financial statements

CFO
Amine Hariz

CEO
Ahmad Saleh Babaeer

CHAIRMAN
Tarek Othman Alkasabi

DALLAH HEALTHCARE COMPANY (A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF CASH FLOWS

(All amounts in Saudi Riyals unless otherwise stated)

	Notes	For the year ended 31 December 2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit for the year		**540,536,397**	485,176,686
Adjustments for :			
Depreciation on property and equipment	6	**171,585,653**	111,766,831
Depreciation on right-of-use assets	7	**43,967,138**	25,095,204
Amortization on intangible assets and goodwill	8	**9,133,293**	3,624,075
Share of results from equity accounted investees	9	**(51,701,756)**	(42,967,767)
Gains resulting from valuation of in-kind consideration in a real estate fund	9-5	**(51,434,877)**	--
Dividend received from investments at fair value through other comprehensive income	10	**(12,090)**	(11,875)
Provision for expired and slow-moving inventory	11	**6,441,156**	762,910
(Reversal) / Impairment loss on amount of prepayments and other current assets	12	**(3,761,097)**	3,404,500
Impairment loss on trade receivables	14	**49,626,956**	30,396,617
Finance cost	18	**147,595,450**	106,692,025
Employee benefits charge	20	**59,510,415**	43,708,015
Zakat charge	24	**8,990,789**	18,222,044
Loss from sale of property and equipment	28	**433,737**	51,301
Changes in operating assets and liabilities:			
Inventories		**(68,121,149)**	(34,358,418)
Unbilled revenue		**2,837,772**	3,733,723
Trade receivables		**(269,379,963)**	(84,254,078)
Prepayments and other current assets		**25,750,420**	(30,681,124)
Related parties and other, net		**(10,801,027)**	1,094,467
Trade payables		**(16,706,398)**	55,229,680
Accrued expenses and other current liabilities		**10,194,064**	30,726,172
Cash generated from operations		**604,684,883**	727,410,988
Zakat paid	24	**(26,821,564)**	(27,464,133)
Employees' benefits paid	20	**(22,472,478)**	(21,659,400)
Net cash generated from operating activities		**555,390,841**	678,287,455
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of property and equipment	6	**(465,287,560)**	(363,642,204)
Acquisition of intangible assets	8	**(4,264,049)**	(1,673,742)
Proceeds from disposal of property and equipment	6	**752,045**	2,029
Acquisition of subsidiaries, net of cash acquired	32،17	**(313,820,558)**	--
Acquisition of equity-accounted investees - cash consideration	9-5	**(8,695,370)**	--
Dividends received from equity-accounted investees	9	**3,910,000**	8,154,923
Dividend received from investments at fair value through other comprehensive income	10	**12,090**	11,875
Net cash used in investing activities		**(787,393,402)**	(357,147,119)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from Murabaha financing	18	**2,420,969,754**	720,155,431
Repayment of Murabaha financing	18	**(1,257,533,970)**	(717,983,174)
Payment of lease liabilities	19	**(55,674,152)**	(34,425,435)
Acquisition of additional non-controlling interest	17	**(435,335,080)**	--
Dividend paid	23	**(208,581,536)**	(201,211,248)
Payment of acquisition of treasury shares	1	**(13,566,478)**	(60,455,136)
Payment of long-term payables		**(591,894)**	(559,825)
Finance cost paid		**(173,443,324)**	(95,644,025)
Net cash from / (used in) financing activities		**276,243,320**	(390,123,412)
Net change in cash and cash equivalents		**44,240,759**	(68,983,076)
Cash and cash equivalents at beginning of the year		**166,324,649**	235,307,725
Cash and cash equivalents at end of the year	15	**210,565,408**	166,324,649

The accompanying notes from 1 to 37 form an integral part of these consolidated financial statements

CFO	CEO	CHAIRMAN
Amine Hariz	Ahmad Saleh Babaeer	Tarek Othman Alkasabi

(All amounts in Saudi Riyals unless otherwise stated)

1. REPORTING ENTITY

Dallah Healthcare Company (the "Company") was established as a Limited Liability Company, registered in the Kingdom of Saudi Arabia under unified number 7001473425 dated 13 Rabi Al-Akhar 1415H (corresponding to 18 September 1994).

On 14 Jumada Al-Awwal 1429H (corresponding to 20 May 2008), the Company's Board of Directors converted Dallah Healthcare Company as a Saudi Closed Joint Stock Company. The Company became a listed Company in the Saudi Capital Market on 04 Safar 1434H (corresponding to 17 December 2012). The name of the Company was changed from "Dallah Healthcare Holding Company" to "Dallah Healthcare Company" based on the approval of Extraordinary General Assembly held on 16 Safar 1438H (corresponding to 16 November 2016) after completion of all legal formalities.

The objectives of the Company include operate, manage and maintain the healthcare entities, wholesale medicines and retail of medical and surgical equipment, prosthetics and devices for the disabled, hospital equipment and manufacturing medicines, pharmaceuticals, herbals, health, cosmetics, detergents, disinfectants and packaging in the Kingdom of Saudi Arabia.

On 15 Jumada al-Thani 1445 H (corresponding to 28 December 2023), the Company's extraordinary general assembly meeting approved in amending the company's By-laws to comply with the requirement of new companies' law.

The Company's registered office is located at King Fahad Road, Riyadh, Kingdom of Saudi Arabia.

Share Capital & Share premium.

The authorized, issued and paid-up share capital of the Company is SR 1,015,747,690 (31 December 2024: SR 976,811,660) consisting of 101,574,769 shares (31 December 2024: 97,681,166) of SR 10 each.

On 23 Ramadan, 1446H (corresponding to 23 March 2025), the Company issued 3,893,603 new ordinary shares in favour of Ayyan Investment Company to acquire 100% of the shares of Al Salam Medical Services Company "Currently named Dallah Al Khober hospital company" and to acquire 97.41% of the shares of Al-Ahsa Medical Services Company and, resulted in increasing share capital from SR 976,811,660 to SR 1,015,747,690, and resulted in a recording of additional share premium amounting SR 448,543,066 million. The share premium balance reached SR 1,475,976,054 million. The company has completed all amendments to its Articles of Association and commercial registration. For further details, please refer to (note 32).

Dallah Al Baraka Holding Company (the ultimate parent company), a closed Saudi joint stock company, owns 47.4% of the Company's share capital, as of the date of these financial statements.

Treasury shares

On 15 Jumada al-Thani 1445 H (corresponding to 28 December 2023), the Company's extraordinary general assembly meeting approved the Company's shares buy-back up to 3,826,189 shares to be used for financing acquisition transactions. Subsequently, as of 31 December 2025, the Company had repurchased 471,821 shares at a total cost of SAR 74,021,614 (31 December 2024: 377,550 shares at a total cost of SAR 60,455,136).

On 27 Rabi' Al-Thani 1447H (corresponding to 19 October 2025), the Extraordinary General Assembly approved changing the purpose of the share purchase to be for the Employee Incentive Program. It also approved the purchase of an additional number of the Company's shares for the same purpose, with a maximum of 622,450 additional shares, bringing the total number of shares allocated to the Employee Incentive Program to 1,000,000 shares, in the event that the Company purchases the maximum number approved by the Assembly. During 2025, the Company purchased 94,271 shares at a value of SR 13,566,478. Accordingly, the total number of treasury shares held by the Company as of 31 December 2025 is 471,821 shares, with a total cost of SR 74,021,614.

The Group branches

The Group has following branches:

Description	Commercial Registration No.	City
Dallah Hospital Al-Nakheel	1010132622	Riyadh
Dallah Pharma Factory (Dallah Pharma Branch)	4030278471	Jeddah
Medicine Warehouse (Dallah Pharma Branch)	2050071905	Dammam
Medicine Warehouse (Dallah Pharma Branch)	1010128997	Riyadh
Medicine Warehouse (Dallah Pharma Branch)	4030140769	Jeddah
Medicine Warehouse (Dallah Pharma Branch)	4030265250	Jeddah
Afia Al Nakheel Catering Services Company	1010833962	Riyadh

2. BASIS OF ACCOUNTING

a) Statement of compliance

These consolidated financial statements comprise the financial statements of the Company and its subsidiaries (together referred to as the 'Group').

These consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by International Accounting Standards Board (IASB) that are endorsed in the Kingdom of Saudi Arabia (KSA) and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA) (herein and after referred to as IFRS as endorsed in KSA).

The preparation of these consolidated financial statements in conformity with the IFRS that are endorsed in KSA requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. Areas involving a higher degree of judgement or complexity, or areas where assumptions and estimations are significant to the consolidated financial statements, are disclosed in note 3 of the consolidated financial statements.

b) Basis of preparation

These consolidated financial statements have been prepared on a going concern basis under the historical cost convention except for:

- the employees' end of service benefit obligations which are measured using the projected unit credit method;
- financial assets at fair value through other comprehensive income which are measured at fair value.

c) Functional and presentation currency

These consolidated financial statements are presented in Saudi Arabian Riyals (SR) which is also the Group's functional currency.

3. USE OF JUDGEMENTS AND ESTIMATES

In preparation of these consolidated financial statements, management has made judgments and estimates that affect the application of Group's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively.

Judgements and estimation uncertainties

Information about judgements and estimates that have the most significant effect on the amounts recognised in the consolidated financial statement is included in the following notes:

Revenue recognition	Note 4(o) and 25
Measurement of Expected credit loss (ECL) allowance	Note 4(f) and 14
Useful life of property and equipment, right of use assets and intangible assets	Note 4(b), (c) 6, 7 and 8
Measurement of employee benefits: key actuarial assumptions	Note 4(k) and 20
Zakat	Note 4(n) and 24
Goodwill on acquisition of subsidiary and impairment thereon	Note 4(a) and 8
Equity accounted investees: whether group has significant influence over an investee	Note 4(a)(s) and 9
Leases	Note 4(w) and 19
Provisions	Note 4(l)
Assets held for sale	Note 4(i) and 16

a) Revenue recognition

The application of IFRS 15 has required management to make the following judgements:

Satisfaction of performance obligations

The Group estimates the variable consideration to be included in the transaction price for each of its agreements with customers. In making this estimate, the Group evaluates the effect of any variable consideration provisions in the contract on patients when billing customers. The Group applies its accumulated historical experience to determine this estimate.

Determination of transaction prices

Determination of transaction prices The Group is required to determine the transaction price in respect of each of its agreements with customers (mainly insurance companies). In making such judgment the Group assess the impact of any variable consideration in the contract, due to insurance claims discount or any other variable items, the existence of any significant financing component in the contract and any non-cash consideration in the contract.

Transfer of control in contracts with customers

In case where the Group determines that performance obligation is satisfied at a point in time, revenue is recognized when services are provided or control over the assets that is subject of contract is transferred to the patient.

b) Measurement of Expected credit loss (ECL) allowance

For accounts receivables, the Group applies the simplified approach. To measure the expected credit losses, receivables have been grouped based on shared credit risk characteristics and the days past due. Expected loss rates were derived from default rates and historical information of the Group and are adjusted to reflect the expected future outcome which also incorporates forward looking information for macroeconomic factors such as inflation and gross domestic product growth rate.

c) Useful lives of property and equipment and intangible assets

Property and equipment

Management determines the estimated useful lives of property and equipment for calculating depreciation. This estimate is determined after considering expected usage of the assets and physical wear and tear. Management reviews the residual value and useful lives annually and change in depreciation charges, if any, are adjusted in current and future periods.

Intangible assets

Management reviews the amortization period and the amortization method for any intangible asset with a finite useful life at least at each financial year-end. If the expected useful life of the asset is different from previous estimates, the Group changes the amortization period accordingly. If there has been a change in the expected pattern of consumption of the future economic benefits embodied in the asset, the Group changes the amortization method to reflect the changed pattern.

d) Measurement of employee benefits: key actuarial assumptions

The cost of the employees' end-of-service benefits are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate and future salary increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. The parameter most subject to change is the discount rate.

e) Zakat

The Group is subject to Zakat in accordance with the Zakat, Tax and Customs Authority ("ZATCA") regulations. Zakat computation involves relevant knowledge and judgement of the Zakat rules and regulations to assess the impact of Zakat liability at a particular period end. This liability is considered an estimate until the final assessment by ZATCA is carried out until which the Group retains exposure to additional Zakat liability.

f) Goodwill on acquisition of subsidiary and impairment thereon

An impairment exists when the carrying value of an asset or Cash Generating Unit (“CGU”) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal or its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm’s length for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flows (“DCF”) model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset’s performance of the CGU being tested. The recoverable amount is most sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

The calculation of value-in-use are most sensitive to the following assumptions:

Discount rate

Discount rate represents the current market assessment of the risks specific to each cash generating unit and calculation is based on the specific circumstances of the Group and its operating segments and derived from its weighted average cost of capital (WACC). The WACC takes into account both shareholders’ equity and debt. The cost of shareholders’ equity is derived from the expected return on investment by the Group’s investors. The cost of debt is based on the interest-bearing borrowings of the Group is obliged to service and segment-specific risk is incorporated.

Terminal value growth rate

The growth rate used does not exceed the long-term average growth rates of the group.

4. MATERIAL ACCOUNTING POLICIES

The material accounting policies applied in the preparation of these consolidated financial statements are set out below. The Group has consistently applied the accounting policies to all periods presented in these consolidated financial statements, except if mentioned otherwise.

(All amounts in Saudi Riyals unless otherwise stated)

a) Basis of consolidation

The subsidiary companies (referred to as the "Subsidiaries") incorporated into these consolidated financial statements are as follows:

Name of subsidiary	Share in equity% 31 December 2025	31 December 2024	Country of operation and Commercial registration	Principal activity	Capital (SR)
Dallah Pharma Company LLC	**100%**	100%	Kingdom of Saudi Arabia, Commercial registration No. 1010410613	Pharmaceutical, herbal & cosmetic distribution & manufacturing.	**4,000,000**
Afyaa Al-Nakheel for Supporting Services Company LLC	**100%**	100%	Kingdom of Saudi Arabia, Commercial registration No.1010404576	Provide manpower & Support services to hospitals and medical centers.	**50,000**
Dallah Namar Hospital Health Company LLC	**100%**	100%	Kingdom of Saudi Arabia, Commercial registration No.1010495218	Operating, managing, equipping and developing hospitals and healthcare facilities, medical polyclinics.	**5,000,000**
Dallah Medical Care Company LLC "Dallah Clinics"	**100%**	100%	Kingdom of Saudi Arabia, Commercial Registration No. 1010189420	Providing of medical services – Medical Clinic	**100,000**
Dallah Medical Care Company LLC "Dallah Pharmacies"	**99%**	99%	Kingdom of Saudi Arabia, Commercial registration No. 1010962080	Sale of pharmaceutical and medical products, cosmetics and toiletries	**50,000**
Makkah Medical Center Company (Closed Joint Stock Company) (note 17)	**91.93%**	91.45%	Kingdom of Saudi Arabia, Commercial registration No. 4031021286	Practicing the activity of public hospitals	**120,080,000**
Care Shield Holding Company (Closed Joint Stock Company) * (note 17)	**100%**	58.64%	Kingdom of Saudi Arabia, Commercial registration No.1010379441	Managing private hospitals, medical and diagnostic centers, and an analytical laboratory, providing medical services, purchasing lands to build buildings on, and investing these buildings by sale or rent for the benefit of the Company.	**125,000,000**
Dallah Al Khober hospital company (Closed Joint Stock Company)** (Note 32)	**100%**	--	Kingdom of Saudi Arabia, Commercial Registration No. 2051059611	Operating and managing hospitals	**200,000,000**
Al-Ahsaa Medical Services company (Closed Joint Stock Company) (Note 32)	**97.41%**	--	Kingdom of Saudi Arabia, Commercial Registration No. 2252025213	Operating and managing hospitals	**150,000,000**

* Care Shield Holding Company owns the following subsidiaries:

Subsidiaries		**Ownership percentage %**
1.	Medical Services Projects Company ("MSPC")	100%
2.	Consulting Clinics Center Company Limited ("CCC")	100%
3.	Modern Medical Initiative Company Limited ("MMI")	100%
4.	Modern Clinics Pharmacy Company Limited ("MCP")	99.99%

** Subsequent to the reporting period, the name of Al-Salam Medical Services Company was changed to Dallah Al Khober hospital company

Business combinations and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at the acquisition date fair value and the amount of any non-controlling interest in the acquiree. Non-controlling interest are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

Any contingent consideration to be transferred is recognized at fair value at the acquisition date. All contingent consideration (except that which is classified as equity) is remeasured at fair value at each reporting date with the changes in fair value recognized in consolidated statement of profit or loss. Contingent consideration that is classified as equity is not remeasured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held, over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If, after remeasurement, the fair value of the acquired net assets still exceeds the total consideration transferred, the difference is recognized as a gain in the consolidated statement of profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is from the acquisition date allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed off, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash generating unit retained.

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls' an entity when it is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more factors that were not previously identified. Consolidation of an entity begins when the Group obtains control over the entity and ceases when the Group loses control of the entity. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statement from the date the Group gains control until the date the Group ceases to control the entity.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

Material accounting policies have been applied consistently throughout the Group.

Non-controlling interests (NCI)

NCI are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

Loss of control

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

Interests in equity-accounted investees

The Group's interests in equity-accounted investees comprise interests in associates. Associates are those entities in which the Group has significant influence, but not control or joint control, over the financial and operating policies.

Interests in associates are accounted for using the equity method. They are initially recognised at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of the profit or loss and OCI of equity accounted investees, until the date on which significant influence or joint control ceases.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses and cash flows relating to transactions arising from intra-group transactions, are eliminated. Unrealised gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

b) Property and equipment

Items of property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Land is measured at its cost value. Cost includes expenditure that are directly attributable to the acquisition of the asset including the cost of purchase and any other costs directly attributable to bringing the assets to a working condition for their intended use. When parts of an item of property and equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognized in consolidated statement of profit or loss when incurred.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the assets is included in consolidated statement of profit or loss when the asset is derecognized.

The cost of replacing part of an item of operating fixed assets is recognized in the carrying amount of the item if it is probable that future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The cost of the day-to-day servicing of operating fixed assets are recognized as repair and maintenance in consolidated statement of profit or loss as incurred.

Asset under construction is carried at cost less impairment losses, if any.

Depreciation

Depreciation is calculated to write off the cost of property and equipment and is generally recognised in profit or loss on a straight-line basis over the estimated useful lives of each component of an item of property and equipment. Depreciation of an asset begins when it is available for use.
The estimated useful lives of property and equipment items are as follows:

	Number of years
Buildings	10-55
Buildings improvements	Useful life or lease term, whichever is shorter
Machinery and equipment	3-10
Medical equipment	4-10
Furniture and fixtures	5-10
Vehicles	4 - 8

Depreciation methods, useful lives and residual values are reviewed at each annual reporting date and adjusted if appropriate.

c) Intangible assets and goodwill

Goodwill arising on the acquisition of subsidiaries is measured at cost less accumulated impairment losses. Other intangible assets include licenses held for use in the normal course of the business. Intangible assets except goodwill are stated at cost less accumulated amortisation and accumulated impairment losses, if any. Amortisation is charged to profit or loss on a straight-line basis over the estimated useful lives of the software and licenses. The useful life of an intangible asset with a definite life is reviewed regularly to determine whether there is any indication that its current life assessment continues to be supportable. If not, the change in the useful life assessment is made on a prospective basis.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is measured at their fair value at the acquisition date.

Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is recognized in the consolidated statement of profit or loss when it is incurred.

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite useful lives

The period and method of amortization of intangible assets with finite lives are reviewed at the end of each financial period. Changes in the expected useful life or expected manner of amortization of the future economic benefits inherent in the asset are accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates.

Amortization is calculated to write off the cost of intangible assets less their residual values using the straight-line method over their estimated useful lives and is generally recognised in consolidated statement of profit or loss. Amortization expense for intangible assets with finite lives is recognized in consolidated statement of profit or loss and is included in the expense category that is consistent with the intangible asset's function. Goodwill is not amortized.

The estimated useful life of intangible assets for current and comparative period are as follows:

	Number of years
Licenses and brand	30
Programs	5

Intangible assets with indefinite useful lives

Intangible assets with indefinite useful lives are not amortized but are tested to ensure that there is no impairment in value annually, either individually or at the level of the cash-generating unit. The indefinite age assessment is reviewed annually to determine whether indefinite ages are still possible. If not, the useful life is changed from indefinite to specific on a future basis.

d) Inventories

Inventories are measured at the lower of cost and net realisable value. Cost is determined using the weighted average cost method. Cost includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

Net realisable value comprises estimated selling price in the ordinary course of business, less further appropriate selling and distribution costs.

e) Unbilled revenue and contract liabilities

Contract asset represents the gross unbilled amount expected to be collected from customers for the services performed to date. Unbilled revenue is presented separately in the consolidated statement of financial position for all services but not billed at the reporting date. The unbilled revenue are transferred to receivables when the rights to bill the invoice to customers become unconditional. This usually occurs when the Group issues an invoice to the customer.

Contract liabilities relate to advance consideration received from customers for performance obligation to be satisfied.

f) Financial instruments

Financial instruments comprise of financial assets and financial liabilities. A financial asset is any contract that gives rise to a financial asset of an entity and financial liability or an equity instrument of another entity.

i) Recognition and initial measurement

Trade receivables issued are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the Group becomes a party to the contractual provisions of the financials instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not on Fair Value through Profit or Loss ("FVTPL"), transaction cost that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

The Group measures its financial liabilities at amortized cost.

ii) Classification and subsequent measurement of financial assets and financial liabilities

On initial recognition, a financial asset is classified as measured at: amortised cost; Fair Value through Other Comprehensive Income ("FVOCI") – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing the financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

– it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
– its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

– it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
– its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment by investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets – Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level a because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;

- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

The following accounting policies apply to the subsequent measurement of financial assets.

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in consolidated statement of profit or loss. The Group has no such assets.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in the profit or loss. Any gain or loss on derecognition is recognised in the profit or loss. The Group has designated financial assets under this category.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in the statement profit or loss. Other net gains and losses are recognized in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to the statement profit or loss. The Group has no such investments.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in the statement profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to consolidated statement of profit or loss. The Group has designated financial assets under this category.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses including any interest expense, are recognised in consolidated statement of profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in consolidated statement of profit or loss. Any gain or loss on derecognition is also recognised in consolidated statement of profit or loss.

iii) Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognized in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognized.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group also derecognizes a financial liability when it terms are modified and cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in consolidated statement of profit or loss.

iv) Offsetting

Financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group currently has a legal enforceable right to offset the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

v) Impairment

The Group measures loss allowances at an amount equal to lifetime ECLs except for the bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition which are measured at 12-months ECLs (Credit risk that has occurred over the expected life of the financial instrument).
The Group has elected to measure loss allowances for trade receivables at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 360 days past due.

Measurement of ECLs

ECLs are the probability-weighted estimate of credit losses. Credit losses are measured at the present value of all cash short falls (i.e. the difference between the cash flows due to the group in accordance with the contract and the cash flows that the Group expects to receive).

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets *(refer note 14)*.

Write-off

The gross carrying amount of financial asset is written off when the Group has no reasonable expectation of recovering of financial asset in its entirety or portion thereof. For individual customers, the Group individually make an assessment with respect to timing and amount of write-off based on whether there is a reasonable expectation of recovery *(refer note 14)*.

g) Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets is reviewed at each statement of financial position date to determine whether there is any indication of impairment as required by IAS 36, Impairment of Assets. If any such indication exists, the asset's recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its Cash-Generating Unit exceeds its recoverable amount.

The recoverable amount is the greater of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using an appropriate pre-tax discount rate. For an asset that does not generate largely independent cash flows, the recoverable amount is determined for the Cash-Generating Unit to which the asset belongs. Impairment losses are recognised in statement of profit or loss.

(All amounts in Saudi Riyals unless otherwise stated)

An impairment loss is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised or if there has been a change in the estimate used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

h) Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, cash at banks in current accounts and other short-term liquid investments with original maturities of three month or less, which are available to the Group without any restrictions.

The non-cash transactions are as the following:

		For the year ended	
	note	**31 December 2025**	**31 December** 2024
Transfer from construction work in progress to property and equipment	6	**219,701,176**	280,695,720
Transfer from property and equipment to asset held for sale	6, 16	**--**	118,500,000
Additions to right of use assets	7	**34,629,099**	77,118,470
Transfer from property and equipment to intangible assets	6, 8	**4,048,208**	--
De-recognition and adjustments to right of use assets	7	**20,037,513**	16,258,388
Addition to lease liabilities	19	**33,428,738**	75,093,065
Increase in share capital due to acquisition of subsidiaries	32	**38,936,030**	--
Increase in share premium due to acquisition of subsidiaries	32	**448,543,066**	--

i) Assets held for sale

Non-current assets, or disposal groups comprising assets and liabilities, are classified as held-for-sale if it is highly probable that they will be recovered primarily through sale rather than through use. Such assets, or disposal groups, are generally measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held-for-sale or held-for-distribution and subsequent gains and losses on remeasurement are recognised in profit or loss, and no longer amortised or depreciated.

j) Borrowing costs

Borrowing costs that are directly attributable to the construction of a qualifying asset are capitalized up to stage when substantially all the activities necessary to prepare the qualifying asset for its intended use are completed and, otherwise, such costs are charged to the consolidated statement of profit or loss.

k) Provision for employees' end of service benefits

Short-term employee benefits

Short-term employee benefits are expensed as per the Group's grading system policy. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined benefits plan

The Group operates an unfunded gratuity scheme for all of its employees in accordance with the requirements of Saudi Labor Law. The Group's net obligation in respect of defined benefits plan is calculated by estimating the amount of future benefits that employees have earned in the current and prior periods. Re-measurements of the net defined benefit liability, comprising of actuarial gains and losses, are recognized immediately in the consolidated statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income, in the period in which they occur. Re-measurements are not reclassified to the consolidated statement of profit or loss in subsequent periods.

The Group recognises the following changes in the defined benefits obligation under ‘cost of revenue’ and ‘general and administrative expenses’ in the statement of profit or loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements
- Interest expense

The calculation of defined benefits obligation is performed annually by a qualified actuary using the projected unit credit method. The most recent actuarial valuation has been carried out on 31 December 2025.

Other long term employee benefits

The Group obligation in respect of other long term employee benefits is the amount of future benefit that employees have earned in return for their service in the current and prior periods. The benefit is discounted to determine its present value. Remeasurements are recognised in the consolidated statement of profit or loss in the period in which they arise.

l) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost in the profit or loss.

m) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group. The fair value of an asset or a liability is measured using assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. The fair value of a non-financial asset takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

If an asset or liability measured at fair value has a bid price and ask price, then the group measures assets and long positions at bid price and liabilities and short position at an ask price.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

At each reporting date, management of the Group analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Group's accounting policies. For this analysis, the management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities based on the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

n) Zakat and value added tax

Zakat

The Company and its subsidiaries are subject to Zakat in accordance with the Zakat regulation issued by the Zakat, Tax And Customs Authority ("ZATCA") in the Kingdom of Saudi Arabia which is subject to interpretations. Zakat is recognized in the consolidated statement of profit or loss. Zakat is levied at a fixed rate of 2.5% of the zakat base as defined in the Zakat regulations.

The Group's management establishes provisions where appropriate on the basis of amounts expected to be paid to the ZATCA and periodically evaluates positions taken in the Zakat returns with respect to situations in which applicable Zakat regulation is subject to interpretation.

Value added tax

The Group is subject to a VAT on a monthly basis. It is paid and settled through the monthly statements submitted by the Company to the ZATCA.

o) Revenue from contract with customers

The Group recognizes revenue from contracts with customers based on a five step model as set out in IFRS 15-Revenue from Contracts with Customers.

Step 1 - Identify the contract(s) with a customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria for every contract that must be met.

Step 2 - Identify the performance obligations in the contract: A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.

Step 3 - Determine the transaction price: The transaction price is the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Step 4 - Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the Group will allocate the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Group expects to be entitled in exchange for satisfying each performance obligation.

Step 5 - Recognize revenue when (or as) the group satisfies a performance obligation.

Revenue is recognized to the extent it is probable that the economic benefits will flow to the Group and revenue and costs, if applicable can be measured reliably.

The patient service revenue is recognized when the services are rendered to the patients net off for any discounts or rejections expected at the time of providing services to the patients.

Revenue is recognised at point in time when services are rendered to its customers from the provision of outpatient medical services. For the provision of inpatient medical services, revenue is recognised over time. For sale of pharmaceutical products, Revenue is recognised at point in time when goods are delivered and have been accepted by the customers at their premises.

The Group recognizes revenue at the point in time at which the customer obtains control of a promised asset or receive services and the group satisfies the performance obligations. The Group considers the below mentioned indicators to assess the transfer of control of the promised service:

- the Group has a present right to receive compensation for the asset or service.
- the customer has legal title to the asset or has consumed the service.
- the Group has transferred physical possession of the asset.
- the customer has the significant risks and rewards of ownership of the asset.
- the customer has accepted the asset or service.

Operating revenue (inpatient and outpatient)

Revenues are measured at the transaction price which is the amount of consideration that the Group expects to be entitled to in exchange for the services provided. Revenue primarily comprises fees charged for inpatient and outpatient hospital services. For operating revenues, the revenue is recognized when the treatment is provided, and the invoice is generated (i.e. after satisfaction of performance obligation). Net patient services revenue is recognised at the estimated net realisable amounts from the third-party payers (insurance companies) and others for the services rendered, net of estimated variable consideration (rejection of claims) when the related services are rendered.

Some contracts include variable considerations such as claims disallowed (rejection of claims) which is not paid by third-party payer, volume discount and prompt payment discount. Discounts comprise volume discounts granted to certain insurance companies on attainment of certain levels of business and constitute variable consideration. These are recognized over the course of the arrangement based on estimates of the level of business expected and are adjusted against revenue to reflect actual volumes.

These disallowed claims could be for various technical or medical reasons. Accordingly, the Group expects an amount of consideration that is less than what was originally invoiced. These disallowances constitute a variable consideration and are assessed based on all information (historical, current and forecast) that is reasonably available to the Group and identify a reasonable expectation of possible consideration amounts.

Sale of goods

Sales of goods represents the invoiced value of medicines and drugs supplied by the Group. The Group's contracts with customers for the sale of medicines and drugs generally include one performance obligation. Revenue from sale of medicines and drugs is recognised at the point in time when control of the asset is transferred to the customer, generally on delivery/dispensing of the medicines and drugs. Excluding wholesale drugs sales associated with quantitative discounts and return obligation.

Interest income

Interest income from a financial asset is recognized when it is probable that the economic benefits will flow to the Group and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Dividend

Dividend income from investments is recognized when the shareholders right to receive payment has been established.

p) Cost of sales and general and administrative expenses

Cost of sales includes those expenses that are directly or indirectly attributable to the sale of goods or patient related services. All expenses, excluding cost of sales and financial cost and selling and marketing expenses are classified as general and administrative expenses. Allocations of common expenses between costs of sales and general and administrative expenses, when required, are made on a consistent basis.

q) Selling and marketing expenses

Represent expenses resulting from the Group's management efforts with regard to the marketing function or the selling and distribution function. Selling and marketing expenses include direct and indirect costs not specifically part of cost of revenues. Allocations between selling and marketing expenses, general and marketing expenses and costs of sales, when required, are made on a consistent basis.

r) Finance income and finance costs

The Group's finance income and finance costs include:

- interest income;
- interest expense;

Interest income or expense is recognised using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

s) Equity accounted investees

Equity accounted investee only includes associates over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining whether significant influence or joint control are similar to those necessary to determine control over subsidiaries.

The Group's investments in its associates are accounted for using the equity method. Under the equity method, the investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and is not tested for impairment separately. Dividend income is recognised in profit or loss on the date on which the Group's right to receive payment is established

The consolidated statement of profit or loss reflects the Group's share in results of the associate. Any change in consolidated statement of comprehensive income of those investees is presented as part of the Group's consolidated statement of comprehensive income. In addition, when there has been a change recognized directly in the equity of the associate, the Group recognizes its share of any changes, in the consolidated statement of changes in shareholders' equity. Unrealized gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The aggregate of the Group's share in results of associate is shown separately on the face of the consolidated statement of profit or loss.

The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is any objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognizes the loss as part of 'Share in results of associate in the consolidated statement of profit or loss.

Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retaining investment and proceeds from disposal is recognized in the consolidated statement of profit or loss.

t) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed by the Group's Chief Operating Decision Maker "CODM" to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

u) Dividend distribution

Dividend distribution to the Company's shareholders is recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Company's shareholders.

v) Statutory reserves

According to the new Company's By-law, which were approved by the Ccompany's Extraordinary General Assembly on 28 December 2023, which is aligned with the new Saudi Companies Law, it becomes no longer required to transfer a specific percentage of the year's profit as a statutory reserve except by a decision from the Company's General Assembly.

w) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether:

- the contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Group has the right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either, the Group has the right to operate the asset; /or the Group designed the asset in a way that predetermines how and for what purpose it will be used.

Right-of-use assets

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term which is earlier. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

(All amounts in Saudi Riyals unless otherwise stated)

Lease liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:
- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use assets, or is recorded in profit or loss if the carrying amount of the right-of-use assets has been reduced to zero.

The Group has presented separately the right-of-use assets and the lease liabilities in the consolidated statement of financial position.

5. NEW STANDARDS OR AMENDMENTS FOR 2025 AND FORTHCOMING REQUIREMENTS

Following are the new standards, amendments and forthcoming requirements to standards which are effective for annual periods beginning after 1 January 2025 and earlier application is permitted; however, the Group has not early adopted them in preparing these consolidated financial statements.

Effective date	New standards or amendments
01 January 2025	Lack of exchangeability (Amendments to IAS 21)
01 January 2026	Classification and Measurement of financial instruments - Amendments to IFRS 9 and IFRS 7 Contracts referencing nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7 Annual improvements to IFRS Accounting Standards - Volume 11
01 January 2027	Presentation and Disclosure in Financial Statements issued (IFRS 18) IFRS 19 subsidiaries without public accountability: Disclosure
Available for optional adoption/effective date deferred indefinitely	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures)

(All amounts in Saudi Riyals unless otherwise stated)

6. PROPERTY AND EQUIPMENT

	Land	Buildings	Buildings Improvements	Machinery and Equipment	Medical Equipment	Furniture and Fixtures	Vehicles	Construction Work in Progress	Total
Cost:									
As at 1 January 2024	833,502,199	1,742,954,501	93,847,906	209,019,351	751,903,550	58,246,175	14,981,710	381,625,619	4,086,081,011
Additions	--	51,061,318	1,232,250	14,564,431	71,154,722	10,714,168	1,709,486	213,205,829	363,642,204
Disposals	--	--	--	(1,102,024)	(21,964,533)	(496,135)	(914,094)	--	(24,476,786)
Transfer from construction work in progress	--	265,194,790	9,991,617	914,288	4,585,328	9,697	--	(280,695,720)	--
Reclassification to asset held for sale (note 16, 9-5)	(118,500,000)	--	--	--	--	--	--	--	(118,500,000)
As at 31 December 2024	**715,002,199**	**2,059,210,609**	**105,071,773**	**223,396,046**	**805,679,067**	**68,473,905**	**15,777,102**	**314,135,728**	**4,306,746,429**
Resulting from the acquisition of subsidiaries (note 32)	**119,976,339**	**919,855,383**	**--**	**26,142,772**	**168,162,918**	**28,588,871**	**5,014,894**	**13,679,219**	**1,281,420,396**
Additions	**--**	**16,896,954**	**14,204,042**	**13,235,994**	**109,792,608**	**10,096,365**	**6,900,610**	**294,160,987**	**465,287,560**
Disposals	**--**	**--**	**(113,555)**	**(422,801)**	**(13,400,470)**	**(1,488,689)**	**(1,525,359)**	**--**	**(16,950,874)**
Transfer to intangible assets (note 8)	**--**	**--**	**--**	**--**	**--**	**(3,955,599)**	**--**	**(235,000)**	**(4,190,599)**
Transfer from construction work in progress	**--**	**11,440,965**	**193,486,827**	**(14,605,537)**	**13,205,406**	**16,173,515**	**--**	**(219,701,176)**	**--**
As at 31 December 2025	**834,978,538**	**3,007,403,911**	**312,649,087**	**247,746,474**	**1,083,439,529**	**117,888,368**	**26,167,247**	**402,039,758**	**6,032,312,912**
Accumulated depreciation:									
As at 1 January 2024	--	359,704,897	75,336,873	114,463,346	455,031,502	31,930,466	10,005,723	--	1,046,472,807
Charge for the year	--	36,761,345	3,050,079	12,446,039	52,810,179	5,185,305	1,513,884	--	111,766,831
Disposals	--	--	--	(1,086,366)	(21,987,487)	(435,509)	(914,094)	--	(24,423,456)
As at 31 December 2024	**--**	**396,466,242**	**78,386,952**	**125,823,019**	**485,854,194**	**36,680,262**	**10,605,513**	**--**	**1,133,816,182**
Resulting from the acquisition of subsidiaries (note 32)	**--**	**130,833,068**	**--**	**14,097,743**	**98,202,448**	**15,938,986**	**3,499,102**	**--**	**262,571,347**
Charge for the year	**--**	**52,370,471**	**19,701,549**	**12,242,997**	**68,487,419**	**15,818,235**	**2,964,982**	**--**	**171,585,653**
Disposals	**--**	**--**	**(12,873)**	**(413,352)**	**(13,320,409)**	**(1,216,851)**	**(801,607)**	**--**	**(15,765,092)**
Transfer to intangible assets (note 8)	**--**	**--**	**--**	**--**	**--**	**(142,391)**	**--**	**--**	**(142,391)**
As at 31 December 2025	**--**	**579,669,781**	**98,075,628**	**151,750,407**	**639,223,652**	**67,078,241**	**16,267,990**	**--**	**1,552,065,699**
Net book value:									
As at 31 December 2025	**834,978,538**	**2,427,734,130**	**214,573,459**	**95,996,067**	**444,215,877**	**50,810,127**	**9,899,257**	**402,039,758**	**4,480,247,213**
As at 31 December 2024	715,002,199	1,662,744,367	26,684,821	97,573,027	319,824,873	31,793,643	5,171,589	314,135,728	3,172,930,247

(All amounts are presented in Saudi riyals unless otherwise indicated)

The allocation of depreciation expense is as follows:

	2025	2024
Cost of sales	**156,031,549**	104,602,450
General and administrative expenses (note 27)	**15,554,104**	7,164,381
	171,585,653	111,766,831

Capital work in progress

The Group commenced a new project for a hospital on a land owned by the Group with an area of 45,000 square meters located in Al-Arid district in Riyadh. The hospital capacity of 250 beds and has the possibility of expansion in the future. In addition, the Group is continuously working on the expansions and improvements of the medical premises in the Group.

During the year ended on 31 December 2025, The capitalized financing costs for Murabaha and lease liability on projects under constructions amounted to SR 21 million (31 December 2024: SR 18 million).

7. RIGHT-OF-USE ASSETS

	31 December 2025	31 December 2024
Cost*:*		
Balance at the beginning of the year	**183,892,694**	123,032,612
Resulting from the acquisition of subsidiaries (note 32)	**79,704,250**	--
Additions	**34,629,099**	77,118,470
De-recognition and adjustments	**(20,037,513)**	(16,258,388)
Balance at end of the year	**278,188,530**	183,892,694
Accumulated Depreciation:		
Balance at beginning of the year	**52,592,697**	37,427,439
Resulting from the acquisition of subsidiaries (note 32)	**29,990,052**	--
Depreciation charge for the year	**43,967,138**	28,775,530
De-recognition and adjustments	**(20,037,513)**	(13,610,272)
Balance at end of the year	**106,512,374**	52,592,697
Net book value at end of the year	**171,676,156**	131,299,997

Right-of-use assets include rentals for buildings for workers' accommodation, administrative premises, medical clinics and warehouse. The rentals run for an average lease term of up to 3-15 years and lease payments are fixed.

The allocation of right of use depreciation expense is as follows:

	2025	2024
Cost of sales	**34,758,321**	18,232,720
General and administrative expenses (note 27)	**8,412,739**	6,862,484
Capitalized construction work in progress	**796,078**	3,680,326
	43,967,138	28,775,530

(All amounts are presented in Saudi riyals unless otherwise indicated)

8. INTANGIBLE ASSETS AND GOODWILL

	Goodwill	Manufacturing licenses	Product licenses	Brand	License	Programs	Total
Cost:							
At 1 January 2024	114,272,835	10,648,000	11,505,000	30,900,000	49,100,000	4,859,575	221,285,410
Additions	--	--	--	--	--	1,673,742	1,673,742
As at 31 December 2024	**114,272,835**	**10,648,000**	**11,505,000**	**30,900,000**	**49,100,000**	**6,533,317**	**222,959,152**
Resulting from the acquisition of subsidiaries (note 32)	**437,808,119**	**--**	**--**	**--**	**55,000,000**	**20,840,928**	**513,649,047**
Additions	**--**	**--**	**--**	**--**	**--**	**4,264,049**	**4,264,049**
Transfer from property and equipment (note 6)	**--**	**--**	**--**	**--**	**--**	**4,190,599**	**4,190,599**
As at 31 December 2025	**552,080,954**	**10,648,000**	**11,505,000**	**30,900,000**	**104,100,000**	**35,828,893**	**745,062,847**
Amortization and Impairment:							
At 1 January 2024	--	5,039,464	5,268,000	3,192,075	5,256,769	1,436,603	20,192,911
Charge for the year	--	254,932	283,500	1,029,998	1,636,667	418,978	3,624,075
As at 31 December 2024	**--**	**5,294,396**	**5,551,500**	**4,222,073**	**6,893,436**	**1,855,581**	**23,816,986**
Resulting from the acquisition of subsidiaries (note 32)	**--**	**--**	**--**	**--**	**--**	**7,475,169**	**7,475,169**
Charge for the year	**--**	**254,932**	**283,500**	**1,029,998**	**3,011,667**	**4,553,196**	**9,133,293**
Transfer from property and equipment (note 6)	**--**	**--**	**--**	**--**	**--**	**142,391**	**142,391**
As at 31 December 2025	**--**	**5,549,328**	**5,835,000**	**5,252,071**	**9,905,103**	**14,026,337**	**40,567,839**
Net book value:							
As at 31 December 2025	**552,080,954**	**5,098,672**	**5,670,000**	**25,647,929**	**94,194,897**	**21,802,556**	**704,495,008**
As at 31 December 2024	114,272,835	5,353,604	5,953,500	26,677,927	42,206,564	4,677,736	199,142,166

Amortization of intangible assets is allocated to general and administrative expenses (note 27).

All amounts are presented in Saudi riyals unless otherwise indicated

9. EQUITY ACCOUNTED INVESTEES

Equity accounted investees are as follows:

	Classification	Ownership interest in equity as at 31 December 2025	Ownership interest in equity as at 31 December 2024	Country of operation and principal place of business	31 December 2025	31 December 2024
Dr. Mohammed Rashid Al-Faqih Company	**Associate**	**31.21%**	31.21%	Kingdom of Saudi Arabia	**101,838,627**	85,114,623
Meras Arabia Holding Company	**Associate**	**17%**	17%	Kingdom of Saudi Arabia	**53,945,667**	49,780,113
MEFIC Private Equity Opportunities Fund 3	**Associate**	**41.6%**	41.6%	Kingdom of Saudi Arabia	**101,935,541**	77,870,582
International Medical Center Company	**Associate**	**27.18%**	27.18%	Kingdom of Saudi Arabia	**1,399,136,902**	1,392,870,214
Wahet Al-Nakheel Real Estate Fund	**Associate**	**33.33%**	--	Kingdom of Saudi Arabia	**176,702,906**	--
					1,833,559,643	1,605,635,532

9-1 Dr. Mohammed Rashid Al-Faqih Company

The principal activity of Dr. Mohammed Rashid Al-Faqih Company is to own, operate and maintain the hospitals and health centers. Dr. Mohammed Rashid Al-Faqih Company owns a hospital in eastern Riyadh City under the name of Dr. Mohammed Al-Faqih Hospital.

On 13 Muharram 1442H (corresponding to 1 September 2020), the operation of the first phase of the hospital began. The hospital has a capacity of 350 beds.

On 19 Jumada al-Awwal 1447H (corresponding to 10 November 2025), the company has signed in acceptance of a non-binding offer presented by Fakeeh Hospital Company (Joint stock company) to purchase its entire shareholding of (31.21%) in the share capital of Dr. Mohammad Bin Rashed Al Fagih & Partners Company ("the Associate Company"). The parties have agreed on an initial valuation; however, the final value of the transaction will be determined after Fakeeh Hospital Company completes the necessary studies and due diligence procedures.

The movement in the investment is as follows:

	2025	2024
Balance at the beginning of the year	**85,114,623**	83,865,856
Group's share of profit	**16,938,175**	1,072,416
Group's share of other comprehensive (loss) / income	**(214,171)**	176,351
Balance at the end of the year	**101,838,627**	85,114,623

The financial information of the associate is summarized as follows:

	31 December 2025	31 December 2024
Current assets	**204,280,154**	180,615,833
Non-current assets	**688,086,540**	714,495,203
Current liabilities	**44,930,219**	202,005,972
Non-current liabilities	**565,511,813**	464,765,805
Profit for the year	**54,271,628**	3,436,128
Equity	**281,924,662**	228,339,259

All amounts are presented in Saudi riyals unless otherwise indicated

	31 December 2025	31 December 2024
Net assets	**281,924,662**	228,339,259
Percentage ownership	**31.21%**	31.21%
Ownership interest	**87,988,687**	71,264,683
Goodwill	**13,849,940**	13,849,940
Carrying amount of the investment	**101,838,627**	85,114,623

9-2 Meras Arabia Holding Company

The principal activity of Meras Arabia Holding Company is providing medical services in the field of cosmetology. The Group holds 17% in equity of the investee company and has significant influence because of the meaningful presentation on the board of the investee.

The movement in the investment is as follows:

	2025	2024
Balance at the beginning of the year	**49,780,113**	46,221,629
Group's share of profit	**8,560,855**	6,083,785
Group's share of other comprehensive loss	**(485,301)**	(485,301)
Dividends received	**(3,910,000)**	(2,040,000)
Balance at the end of the year	**53,945,667**	49,780,113

The financial information of the associate is summarized as follows:

	31 December 2025	31 December 2024
Current assets	**189,365,331**	108,851,285
Non-current assets	**115,207,278**	117,032,448
Current liabilities	**111,838,855**	54,929,553
Non-current liabilities	**47,264,860**	49,988,546
Profit for the year	**50,357,971**	35,786,971
Equity	**145,468,894**	120,965,634

	31 December 2025	31 December 2024
Net assets	**145,468,894**	120,965,634
Percentage ownership	**17.00%**	17.00%
Ownership interest	**24,729,712**	20,564,158
Goodwill	**29,215,955**	29,215,955
Carrying amount of the investment	**53,945,667**	49,780,113

9-3 MEFIC Private Equity Opportunities Fund 3

The movement in the investment is as follows:

	2025	2024
Balance at the beginning of the year	**77,870,582**	70,097,184
Group's share of profit	**24,064,959**	7,773,398
Balance at the end of the year	**101,935,541**	77,870,582

All amounts are presented in Saudi riyals unless otherwise indicated

9-4 International Medical Center Company (IMC)

The principal activity of International Medical Center Company (IMC) is the establishment, management and operation of hospitals, medical centers and health rehabilitation centers; the operation of optical centers; the management and operation of scientific research institutes and training institutes for medical and nursing services; and the operation of private hospitals.

The movement in the investment is as follows:

	2025	2024
Balance at the beginning of the year	**1,392,870,214**	1,370,944,251
Group's share of profit	**4,065,108**	28,038,168
Group's share of other comprehensive income	**2,201,580**	2,718
Dividend received	**--**	(6,114,923)
Balance at the end of the year	**1,399,136,902**	1,392,870,214

The financial information of the associate is summarized as follows:

	31 December 2025	31 December 2024
Current assets	**957,124,577**	1,046,569,025
Non-current assets	**1,281,078,423**	1,153,596,389
Current liabilities	**426,937,853**	344,751,962
Non-current liabilities	**478,107,346**	545,311,900
Profit for the year	**14,956,247**	103,157,352
Equity	**1,333,157,801**	1,310,101,552

	31 December 2025	31 December 2024
Net assets	**1,333,157,801**	1,310,101,552
Percentage ownership	**27.18%**	27.18%
Ownership interest	**362,352,290**	356,085,602
Goodwill	**1,036,784,612**	1,036,784,612
Carrying amount of the investment	**1,399,136,902**	1,392,870,214

9-5 Wahet Al-Nakheel Real Estate Fund

On 30 Jumada Al-Akhira 1446H (corresponding to 31 December 2024), the Company has entered into a Sale and Purchase Agreement ("SPA") with Amar Al Nakheel Real Estate Company, a Special Purpose Vehicle ("SPV") established on behalf of Wahet Al-Nakheel Real Estate Fund "The Fund", for the transfer of undeveloped lands in the Al-Nakheel District in Riyadh owned by the Company valued at SAR 196 million as an in-kind consideration. The valuation conducted by independent evaluators accredited by the Saudi Authority for Accredited Valuers "Taqeem".

On 31 December 2024, the control over the lands remains with the Company because the transaction has not reached completion, stemming from the pending legal title transfer and retention of substantive termination rights by the parties to the sale and purchase agreement. Accordingly, the lands have been classified as an Asset Held for Sale in accordance with the requirements of IFRS 5 "Assets Held for Sale and Discontinued Operations", which require the company measures the lands at the lower of it carrying amount or fair value. Accordingly, the Company maintained the registration of the lands at their carrying value of SAR 118.5 million.

On 19 Ramadan 1446H (corresponding to 19 March 2025), the ownership of the lands was transferred from the Company to the fund, resulting in the recognition of capital gains amounting to SAR 51.4 million. This represents the difference between the book value of the lands and its fair value after deducting the Company's contribution percentage in the fund, which is 33.33%, these gains have been recorded in statement of profit or loss under Other Income during the first quarter of 2025. Investment in the fund has been classified as an equity accounting investee because the Company has significant influence because of the meaningful presentation on the board of the investee.

All amounts are presented in Saudi riyals unless otherwise indicated

The purpose of establishing the Fund is to improve the capital for the investors by the Fund through owning the lands and implementing the construction development program by developing a mixed-use project containing commercial, office, hotel, and healthcare sector spaces. According to the sale and purchase agreement and the terms and conditions of the Fund, the company will contribute the lands owned by it as an in-kind investor, Dallah Real Estate Company (a related party) will contribute the lands owned by it as an in-kind investor, and Tatweer Company contributes as a cash investor in addition to implementing the construction development program. Aljazira Capital manages the Fund. The company also contributed a cash share in the Fund of approximately SAR 8.7 million. The total capital of the Fund amounts to SAR 613 million, divided equally between the Company, Dallah Real Estate Company and Tatweer Company.

On 27 Jumada al-Awwal 1447 AH (corresponding to 18 November 2025 AD), the company announced the launch of the Fund. The Fund has appointed Tatweer company ("Tatweer") as the project's real estate developer and has signed a development agreement with Tatweer worth SAR 741 million to oversee design, excavation, construction works, and the necessary regulatory approvals.

The movement in the investment is as follows:

Cost of the fund	**31 December 2025**
In-kind consideration – reclassified from asset held for sale (Note 16)	**118,500,000**
Realized capital gain resulting from valuation of in-kind consideration after deducting the Company's contribution percentage in the fund	**51,434,877**
Cash consideration in the fund	**8,695,370**
Group's share of loss of the year*	**(1,927,341)**
Balance at the end of the year	**176,702,906**

*The fund's loss for the year represents its administrative expenses.

The financial information of the associate is summarized as follows:

	31 December 2025
Current assets	**136,347,039**
Non-current assets	**400,000,000**
Current liabilities	**6,238,322**
Loss of the year	**(5,782,022)**
Equity	**530,108,717**

	31 December 2025
Net assets	**530,108,717**
Percentage ownership	**33.33%**
Ownership interest	**176,702,906**
Carrying amount of the investment	**176,702,906**

All amounts are presented in Saudi riyals unless otherwise indicated

10. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Country	Ownership percentage	Cost as at 31 December 2025	Fair Value as at 31 December 2025
Quoted:				
Jordanian Pharmaceutical Manufacturing Company	Jordan	**0.4%**	**503,561**	**641,681**
Al Nahdi Medical Company	Kingdom of Saudi Arabia	**0.002%**	**282,829**	**234,251**
			786,390	**875,932**

	Country	Ownership percentage	Cost as at 31 December 2024	Fair Value as at 31 December 2024
Quoted:				
Jordanian Pharmaceutical Manufacturing Company	Jordan	0.4%	503,561	743,605
Al Nahdi Medical Company	Kingdom of Saudi Arabia	0.002%	282,829	253,899
			786,390	997,504

The investment has been recorded at Fair Value through Other Comprehensive Income as the Group intends to hold for long term for strategic purpose.

Dividend recognized during the year 2025 amounting to SR 0.012 million (31 December 2024: SR 0.012 million).

11. INVENTORIES

	31 December 2025	31 December 2024
Medical supplies and pharmaceutical items	**369,044,455**	260,605,518
Provision for expired inventory	**(9,365,977)**	(2,924,821)
	359,678,478	257,680,697

Movement in the provision of expired inventory during the year is as follows:

	2025	2024
Balance at beginning of the year	**2,924,821**	2,161,911
Charge for the year (note 27)	**6,441,156**	762,910
Balance at the end of the year	**9,365,977**	2,924,821

12. PREPAYMENT AND OTHER CURRENT ASSETS

	31 December 2025	31 December 2024
Advances to suppliers	**73,472,969**	93,094,285
Prepayments	**71,812,330**	71,145,759
Accrued discount	**19,666,028**	11,641,914
Employees' related loans	**15,781,963**	12,933,365
Letter of guarantee margin	**3,337,689**	978,221
Others	**11,606,281**	10,050,016
	195,677,260	199,843,560
Less: Impairment loss on prepayments and other current assets	**(33,468,067)**	(37,229,164)
	162,209,193	162,614,396

The summary for the movement of impairment loss:

	2025	2024
Balance at beginning of the year	**37,229,164**	33,824,664
(Reversal) / Charge for the year (note 27)	**(3,761,097)**	3,404,500
Balance at the end of the year	**33,468,067**	37,229,164

All amounts are presented in Saudi riyals unless otherwise indicated

13. RELATED PARTIES AND OTHERS - TRANSACTIONS AND BALANCES

Related parties of the Group comprise of key management personnel and associates where shareholders or the Group have control or significant influence. The Group and its related parties transact with each other as per mutually agreed terms.

Name of related parties and others	Relationship	Nature of transactions	Transaction during the year ended 31 December 2025	31 December 2024
Wahet Al-Nakheel Real Estate Fund	Associate	Mutual contribution in a real estate fund (refer to note 9.5)	**204,347,685**	--
Al-Jazira Capital	Other*	Financial Consultation	**7,599,787**	40,000
Sukkary Medical Company	Other*	Medical services	**1,308,125**	--
International Medical Center Company	Associate	Technical Support and medicines sales	**490,245**	531,810
		Dividend received	**--**	6,114,923
Dr Mohammed Rashid Al-Faqih Company	Associate	Technical Support and Medicines sales	**2,767,955**	1,427,229
Khalid Al-Faqih Engineering Consultation Company	Other*	Engineering Consultation	**4,956,712**	1,479,707
Meraas Arabia Holding Company	Associate	Medical services	**2,747,198**	3,204,219
		Dividend received	**3,910,000**	2,040,000
Adaptive TechSoft	Other*	Technical Support	**7,416,819**	6,635,617
Eng. Tarek Alkasabi	Chairman of Board	Management consulting	**1,319,735**	1,319,736
Dallah Trading Company	Owned partially by shareholder	Purchase of spare parts	**9,737**	--
Dareen Travel Agency	Owned partially by shareholder	Travel tickets	**8,404,215**	8,777,731
Jarir Marketing Company	Other*	Office supplies and stationery	**--**	83,027
Dallah Al-Barakah Holding	Ultimate Parent Company	Medical services	**175,011**	278,231
Growth Path Investment Company (Mahara)	It was a major shareholder in subsidiary	Recruitment services	**12,732,356**	12,011,080
Joud Al Hala Company	Other*	Rent	**330,728**	995,546

Remuneration of the key management personnel and Board of Directors' remuneration and allowance:

	For the year ended 31 December 2025	2024
Salaries and bonuses for Group's Executive Directors	**14,780,427**	9,911,242
Long term benefits	**7,295,712**	5,035,305
Board of Directors' and related committees' remuneration (Note 27)	**5,057,575**	4,895,000

*Other parties comprise of those entities where key management persons or their close family members are common or those entities which have indirect shareholding. Management have disclosed it as other parties for compliance with Companies law (Article 71).

All amounts are presented in Saudi riyals unless otherwise indicated

Due from related parties and others

	31 December 2025	31 December 2024
Dr Mohammed Rashid Al-Faqih Company	**5,833,401**	8,481,884
Dallah Al-Barakah Holding	**362,960**	320,199
International Medical Center Company	**193,067**	177,169
Meraas Arabia Holding Company	**170,725**	254,674
Joud Al Hala Company	**89,186**	177,163
	6,649,339	9,411,089

Due to related parties and others

	31 December 2025	31 December 2024
Sukkary Medical Company	**934,375**	--
Dareen Travel Agency	**593,188**	726,694
Adaptive TechSoft	**393,932**	--
Growth Path Investment Company - Mahara	**--**	1,124,467
Jarir Marketing Company	**--**	24,920
	1,921,495	1,876,081

14. TRADE RECEIVABLES

	31 December 2025	31 December 2024
Trade receivables	**1,332,049,371**	858,661,206
Impairment loss allowance	**(135,627,359)**	(83,361,188)
	1,196,422,012	775,300,018

Movement in the allowance for impairment during the year is as follows.

	2025	2024
Balance at the beginning of the year	**83,361,188**	100,885,926
Resulting from the acquisition of subsidiaries (note 32)	**5,180,574**	--
Charge for the year	**49,626,956**	30,396,617
Written-off	**(2,541,359)**	(47,921,355)
Balance at the end of the year	**135,627,359**	83,361,188

All of the above Group's trade receivables have been reviewed for indicators of impairment.

15. CASH AND CASH EQUIVALENTS

	31 December 2025	31 December 2024
Cash at banks *	**90,980,077**	153,888,635
Short-term deposits**	**114,000,000**	10,000,000
Cash in hand	**5,585,331**	2,436,014
	210,565,408	166,324,649

* Cash at banks represents cash held in current accounts with banks operating in the Kingdom of Saudi Arabia.

** Short-term deposits pertain to fixed deposits placed with local banks having maturity of three months or less.

16. ASSET HELD FOR SALE

The amount presented in consolidated statement of financial position as at 31 December 2024 with a value of SAR 118.5 million represents the carrying amount of land previously owned by the Company, which was transferred as an in-kind contribution to Wahet Al-Nakheel Real Estate Fund during 2025 (refer to note 9-5).

All amounts are presented in Saudi riyals unless otherwise indicated

17. NON-CONTROLLING INTERESTS

The following is a statement of the movement in the non-controlling interests of the subsidiaries:

Year 2025 Percentage of ownership of non-controlling interests	**Al-Ahsaa Medical Service company 2.59%**	**Makkah Medical Center Company 8.07%**	**Care Shield Holding Company --%**	**Total**
Balance at beginning of the year	**--**	**28,257,662**	**250,205,996**	**278,463,658**
Resulting from the acquisition of subsidiaries (note 32)	**8,032,548**	**--**	**--**	**8,032,548**
Group acquisition of additional non-controlling interest	**--**	**(1,024,000)**	**(243,036,670)**	**(244,060,670)**
Total	**8,032,548**	**(1,024,000)**	**(243,036,670)**	**(236,028,122)**
Dividend related to non-controlling interest (note 23)	**--**	**--**	**(6,204,000)**	**(6,204,000)**
Share of net profit for the year	**227,741**	**2,028,526**	**11,810**	**2,268,077**
Share of other comprehensive income / (loss) for the year	**238,128**	**(114,615)**	**(977,136)**	**(853,623)**
Balance at end of the year	**8,498,417**	**29,147,573**	**--**	**37,645,990**

Year 2024 Percentage of non-controlling interests	Makkah Medical Center Company 8.55%	Care Shield Holding Company 41.36%	Total
Balance at beginning of the year	26,722,169	242,536,854	269,259,023
Dividend related to non-controlling interest (note 23)	--	(6,204,000)	(6,204,000)
Share of net profit for the year / the period	1,587,588	12,387,038	13,974,626
Share of other comprehensive (loss) / income for the year / the period	(52,095)	1,486,104	1,434,009
Balance at end of the year	28,257,662	250,205,996	278,463,658

Al-Ahsaa Medical Service Company

The following table summarises the information relating to the subsidiary (Al-Ahsaa Medical Service Company) that has material non-controlling interests (NCI), before any intra group eliminations.

Summarized statements of financial position:

	31 December 2025
Non-current assets	**134,350,062**
Current assets	**238,194,585**
Non-current liabilities	**35,876,854**
Current liabilities	**144,756,491**

All amounts are presented in Saudi riyals unless otherwise indicated

Summarized statements of profit or loss and comprehensive income:

	2025
Revenue	**235,318,438**
Net profit for the year	**10,657,278**
Other comprehensive income for the year	**9,194,114**
Total comprehensive income for the year	**19,851,392**
Net profit attributable to non-controlling interest	**227,741**
Other comprehensive income attributable to non-controlling interests	**238,128**

Makkah Medical Center Company

During the first quarter 2025, the Company purchased an additional 0.48% equity stake in Makkah Medical Center Company for a total value of SAR 1,024,000.

The following table summarises the information relating to the Group's subsidiary (Makkah Medical Center Company) that has material non-controlling interests (NCI), before any intra group eliminations.

Summarized statements of financial position:

	31 December 2025	31 December 2024
Non-current assets	**89,945,325**	68,816,124
Current assets	**122,243,995**	100,982,376
Non-current liabilities	**14,813,716**	12,128,133
Current liabilities	**68,093,647**	55,309,819

Summarized statements of profit or loss and comprehensive income:

	2025	2024
Revenue	**254,801,548**	212,916,735
Net profit for the year	**28,341,675**	21,773,322
Other comprehensive loss	**(1,420,266)**	(609,300)
Total comprehensive income for the year	**26,921,409**	21,164,022
Net profit attributable to non-controlling interest	**2,028,526**	1,587,588
Other comprehensive loss attributable to non-controlling interests	**(114,615)**	(52,095)

Acquisition of non-controlling interest of Care Shield Holding Company (Subsidiary)

On 27 Jumada al-Akhirah 1447H (corresponding to 18 December 2025), the Company announces the signing of agreement to purchase all the remaining shares owned by Growth Avenue Investments Company (a single shareholder company), a limited liability company that is wholly-owned by Maharah Human Resources Company (a listed joint stock company) ("Growth Avenue") representing 41.36% of the share capital of Care Shield Holding Company, resulting in Dallah Healthcare's ownership of the full share capital of Care Shield Holding Company. and the value of the deal amounted to SAR 434,311,080.

On 04 Rajab 1447H (corresponding to 24 December 2025), the Company hereby announces that the Transaction has been completed after the fulfilment of its condition and the transfer of shares in Care Shield has been transferred from Growth Avenue to Dallah Healthcare after the cash consideration was settled.

The net of the consideration transferred for the transaction of SAR 434,311,080 and the non-controlling interest balance of SAR 243,036,670, amounting to SAR 191,274,410, was recognized in retained earnings for the company.

18. MURABAHA FINANCING

Movement summary of Murabaha financing during the year ended as at:

	2025	2024
Balance at beginning of the year	**1,896,855,148**	1,894,682,891
Resulting from the acquisition of subsidiaries (note 32)	**731,812,056**	--
Remeasurement *	**(29,520,101)**	--
Proceeds during the year	**2,420,969,754**	720,155,431
Payments made during the year	**(1,257,533,970)**	(717,983,174)
Balance at end of the year	**3,762,582,887**	1,896,855,148

The following is the classification of Murabaha financing:

Non-current:	**31 December 2025**	31 December 2024
Long -term Murabaha finance	**2,942,933,467**	1,188,059,098
Current:		
Short-term Murabaha finance	**615,413,564**	527,710,016
Current portion of long-term Murabaha finance	**204,235,856**	181,086,034
Total short term and current Murabaha finance	**819,649,420**	708,796,050
Total Murabaha financing	**3,762,582,887**	1,896,855,148

Murabaha financing agreements with local banks

The Group has Murabaha finance contracts with local banks at a mark-up rate of SAIBOR plus agreed margin on facilities obtained. Murabaha contracts are denominated in Saudi Riyals and bear financial cost based on prevailing market price. Murabaha contracts are obtained to finance the operation and construction of new medical facilities and hospitals under construction and working capital financing.

As at 31 December 2025, the Group has bank Murabaha facilities of SR 6,235 million (31 December 2024: SR 3,536 million), out of which an amount of SR 3,321 million was utilized as at 31 December 2025 (31 December 2024: SR 1,674 million).

Bank Murabaha Facilities secured by promissory notes as at 31 December 2025, with a total of SR 6,358 million (31 December 2024: SR 3,508 million). In addition, the facilities secured by mortgage deed of lands, property and equipment for Al-Salam medical services company “Currently named Dallah Al Khober hospital company” and Al-Ahsa medical services company.

* Following the acquisition of Al-Salam Medical Services Company “Currently named Dallah Al Khober hospital company” (subsidiary) and during the year ended 31 December 2025, the Group renegotiated certain contractual terms of a Murabaha financing in the subsidiary, which resulted in a reduction of the recognized financial liability. The financing was remeasured based on the revised future cash flows under the new contractual terms, resulting in the recognition of a gain of SAR 29.5 million.

Murabaha financing agreements with the Ministry of Finance

On 25 Muharram 1443H (corresponding to 02 September 2021), the Company signed an agreement with the Ministry of Finance to obtain long term loan amounting to SR 357 million for the period of 10 years (16 semi-annual installments) to support the Group’s strategy in completing the construction of Dallah Namar Hospital. The long-term loan has been secured by two promissory notes and mortgage deed of land for Dallah Namar Hospital. Out of these loans, SR 332 million has been received till 31 December 2025 (31 December 2024: SR 223 million).

On 17 Shawal 1439H (corresponding to 01 July 2018), Al-Salam medical services company “Currently named Dallah Al Khober hospital company” signed an agreement with the Ministry of Finance to obtain long term loan amounting to SR 194 million for the period of 25 years (20 annual installments) to construct Al-Salam Hospital “Currently named Dallah Al Khober hospital company”. The long-term loan has been secured by mortgage deed of land for Al-Salam Hospital “Currently named Dallah Al Khober hospital company”. Out of which an amount of SR 110 million was utilized as at 31 December 2025 (31 December 2024: SR 115 million not recorded in the consolidated financial position for the Company as it precedes the transaction).

Bank covenants

The Group is subject to certain bank covenants which are fully compliant at reporting date.

All amounts are presented in Saudi riyals unless otherwise indicated

The financing costs recognized in statement of profit or loss represents in following:

	2025	2024
Murabaha interest	**135,985,242**	103,005,206
Lease interest	**11,610,208**	3,686,819
	147,595,450	106,692,025

19. LEASES AS LESSEE

Lease Liability	**2025**	2024
Balance at beginning of the year	**126,116,507**	78,703,915
Resulting from the acquisition of subsidiaries (note 32)	**55,049,891**	--
Additions	**33,428,738**	75,093,065
Lease interest	**12,519,682**	6,744,962
Lease payments	**(55,674,152)**	(34,425,435)
Balance at end of the year	**171,440,666**	126,116,507
Divided into:		
Long-term lease liability	**125,950,619**	91,973,456
Short-term lease liability	**45,490,047**	34,143,051
	171,440,666	126,116,507

Amounts recognized in the consolidated statement of cash flows	**2025**	2024
Total cash outflow for leases	**(55,674,152)**	(34,425,435)

The Group has recognized lease liability and interest expense using an incremental borrowing rate, which is the rate of return it expects to use in order to borrow the necessary financing for a similar term of the leases, with the same collateral. Leases do not contain any covenants, but the leased assets may not be used as security for borrowing purposes.

20. EMPLOYEE BENEFITS

The following table shows movement on the liability of employees benefits.

	2025	2024
Balance at the beginning of the year	**278,177,982**	257,821,652
Resulting from the acquisition of subsidiaries (note 32)	**52,191,723**	--
Current service cost	**42,994,936**	31,128,534
Finance cost	**16,515,479**	12,579,481
Total amounts recognised in profit or loss	**59,510,415**	43,708,015
Actuarial loss (gain) recognized in other comprehensive income	**6,934,048**	(1,692,285)
Benefits paid during the year	**(22,472,478)**	(21,659,400)
Balance at the end of the year	**374,341,690**	278,177,982

The following were the principal actuarial assumptions:

Key actuarial assumptions	**31 December 2025**	31 December 2024
Discount rate used	**5.17%**	5.28%
Future growth in salary	**1.86%**	1.76%
Demographic assumptions		
Retirement Age	**65 years**	65 years

All amounts are presented in Saudi riyals unless otherwise indicated

Sensitivity analysis

Reasonably possible changes as to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below:

	31 December 2025		31 December 2024	
	Increase - +1%	**Decrease -1%**	Increase +1%	Decrease -1%
Discount rate	**354,264,175**	**396,140,663**	264,454,201	292,628,347
Future salary growth	**396,674,377**	**353,531,519**	293,119,534	264,619,248

Risks associated with defined benefit plans

Longevity risks:

The risk arises when the actual lifetime of retirees is longer than expectation. This risk is measured at the plan level over the entire retiree population.

Salary increase risk:

The most common type of retirement benefit is one where the benefit is linked with final salary. The risk arises when the actual salary increases are higher than expectation and impacts the liability accordingly.

As at 31 December 2025, the weighted average duration of the defined benefits obligation was 6.34 years (2024: 8 years). The Group expects to pay 27.8 million in contributions to its defined benefits plan in 2026.

21. TRADE PAYABLES AND OTHERS

	31 December 2025	31 December 2024
Medicine related suppliers	**178,727,162**	149,482,255
Medical equipment related suppliers	**125,285,464**	74,167,367
General suppliers	**85,635,675**	29,884,804
Short-term retentions	**10,272,660**	51,956,852
Catering, spare parts, and other suppliers	**10,126,906**	12,861,646
	410,047,867	318,352,924

22. ACCRUED EXPENSES AND OTHER CURRENT LIABILITIES

	31 December 2025	31 December 2024
Employees related accruals and incentives	**74,354,263**	55,083,817
Vacations and accrued tickets	**62,351,482**	48,022,170
Accrued maintenance services and other	**37,049,945**	27,392,762
Value added tax	**20,283,356**	22,465,931
Accrued finance cost	**19,048,959**	16,050,058
Accrued white land tax	**12,108,030**	--
Social insurance accruals	**9,252,385**	9,717,854
Accrued portal charges	**6,731,664**	6,244,205
Deferred income	**4,238,578**	6,461,354
Others	**26,167,053**	14,930,185
	271,585,715	206,368,336

23. DIVIDENDS

On 11 Jumada al-Ula 1447 H (corresponding to 02 November 2025), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 50,581,707.50. These dividends were paid on 09 Jumada al-Akhirah 1447 H (corresponding to 30 November 2025).

All amounts are presented in Saudi riyals unless otherwise indicated

On 09 Safar 1447 H (corresponding to 03 August 2025), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 50,598,609.50. These dividends were paid on 12 Rabi' Al-Awwal 1447 H (corresponding to 04 September 2025).

On 02 Dhu al-Hijjah 1446 H (corresponding to 29 May 2025), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 50,598,609.50. These dividends were paid on 04 Muharam 1447 H (corresponding to 29 June 2025).

On 07 Dhu al-Qi'dah 1446 H (corresponding to 05 May 2025), the shareholders of Care Shield Holding Company (a subsidiary) approved dividends of Saudi Riyals 15 million. An amount of SR 7.5 million of these dividends were paid on 22 Dhu al-Hijjah 1446 H (corresponding to 18 June 2025) and an amount of SR 6.25 million of these dividends were paid on 05 Rajab 1447 H (corresponding to 25 December 2025) And an amount of SR 1.25 million of these dividends were paid on 08 Rajab 1447 H (corresponding to 28 December 2025). The non-controlling interest portion regarding these dividends amounting to SR 6,204,000.

On 17 Ramadan 1446 H (corresponding to 17 March 2025), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 50,598,609.50. These dividends were paid on 22 Shawal 1446 H (corresponding to 20 April 2025).

On 05 Jumada I 1446 H (corresponding to 07 November 2024), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 48,673,443. These dividends were paid on 29 Jumada al-Ula 1446 H (corresponding to 01 December 2024).

On 29 Muharram 1446 H (corresponding to 04 August 2024), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 48,698,439. These dividends were paid on 05 Rabi' Al-Awwal 1446 H (corresponding to 08 September 2024).

On 24 Dhu al-Hijjah 1445 H (corresponding to 30 June 2024), the shareholders of Care Shield Holding Company (a subsidiary) approved dividends of Saudi Riyals 15 million. These dividends were paid on 09 Muharram 1446 H (corresponding to 15 July 2024). The non-controlling interest portion regarding these dividends amounting to SR 6,204,000.

On 05 Dhu al-Hijjah 1445 H (corresponding to 11 June 2024), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 48,794,783. These dividends were paid on 10 Safar 1446 H(corresponding 14 August 2024).

On 12 Jumada II 1445 H (corresponding to 26 December 2023), the Company's Board of Directors decided to distribute interim dividends to shareholders of SR 0.5 per share, amounting to SR 48,840,583. These dividends were paid on 18 Rajab 1445 H (corresponding 30 January 2024).

24. ZAKAT

The following table shows the details of zakat provision as at the reporting date

	31 December 2025	31 December 2024
Companies are included in the consolidated zakat declaration	**12,789,046**	25,225,300
Companies are not included in the consolidated zakat declaration	**9,138,981**	9,591,296
	21,928,027	34,816,596

Movement summary of provision for zakat is as follows:

	2025	2024
Balance at the beginning of the year	**34,816,596**	44,058,685
Resulting from the acquisition of subsidiaries (note 32)	**4,942,206**	--
Charge for the year for companies are included in the consolidated zakat declaration	**12,243,121**	14,378,095
Reversal for the year for companies are included in the consolidated zakat declaration*	**(12,500,000)**	--
Charge for the year for companies are not included in the consolidated zakat declaration	**9,247,668**	3,843,949
Total amounts recognised in consolidated profit or loss statement	**8,990,789**	18,222,044
Payments made during the year	**(26,821,564)**	(27,464,133)
Balance at the end of the year	**21,928,027**	34,816,596

All amounts are presented in Saudi riyals unless otherwise indicated

Zakat base for the company and companies that are included in the consolidated zakat declaration:	**31 December 2025**	31 December 2024
Additions		
Shareholders' equity	**4,082,385,374**	3,468,556,270
Long – term liabilities and other additions	**2,823,043,127**	1,458,402,484
Deductions:		
Property and equipment, net	**(2,748,634,538)**	(2,504,032,396)
Intangible assets and investments	**(3,973,955,761)**	(2,448,093,956)
Total	**182,838,202**	25,167,598
Zakat base – Adjusted net income	**538,268,320**	471,202,060

Adjusted net income	**2025**	2024
Net profit before zakat	**538,268,320**	471,202,060
Adjustments	**--**	--
Adjusted net income	**538,268,320**	471,202,060

Consolidated zakat declaration

The consolidated zakat declaration includes the zakat information for the company and its wholly owned subsidiaries, except for Care Shield Holding Company and Al-Salam Medical Services Company “Currently named Dallah Al Khober hospital company”, as the acquisitions of these two entities were completed during the year. The Group is currently assessing whether they should be included in the consolidated zakat declaration in subsequent years.

Zakat position of the Company and its subsidiaries included in the consolidated zakat declaration

The Company has obtained zakat certificates from Zakat, Tax and Customs Authority “ZATCA” for prior years up to the year ended 31 December 2024.

* The Company received revised zakat assessments from ZATCA for the years 2019 and 2020 in the amount of SAR 12.5 million. The years 2021, 2022, and 2023 were also under review. The Company submitted revised zakat returns for all those years in accordance with the new zakat regulations which was issued on 29 February 2024, and provided the supporting documentation to the ZATCA. Following the ZATCA’s review of these years, the Company received official confirmations indicating that there were no additional zakat liabilities for those years. Accordingly, the previously recorded additional provisions related to those years, amounting to SAR 12.5 million, were reversed.

The year 2024 remains under review by ZATCA, and the Company continues to submit supporting documentation to ZATCA.

Zakat position of subsidiaries not included in the consolidated zakat declaration

Care Shield Holding Company, Al-Salam Medical Services Company “Currently named Dallah Al Khober hospital company”, Al-Ahsaa Medical Service Company, and Makkah Medical Center Company have obtained zakat certificates from ZATCA for the years till 2024 and there is no zakat inspection under review for these companies.

25. REVENUE

	2025	2024
Timing of revenue recognition		
Services transferred over time	**1,407,822,675**	1,072,212,943
Products and services transferred at a point in time	**2,659,066,218**	2,133,521,051
	4,066,888,893	3,205,733,994

The revenues recorded during the period are after deducting medical rejections and other discounts. All revenue earned by the Group are within Kingdom of Saudi Arabia region. For revenue classification please refer to note (33).

All amounts are presented in Saudi riyals unless otherwise indicated

Contract Balances	**31 December 2025**	31 December 2024
Trade receivables (note 14)	**1,196,422,012**	775,300,018
Unbilled revenue*	**8,926,101**	11,763,873

*Unbilled revenue represents services that had been provided but still not invoiced.

26. SELLING AND MARKETING EXPENSES

	2025	2024
Advertising and promotions	**84,962,801**	48,652,216
Salaries and wages	**18,933,802**	15,782,338
Marketing incentives	**1,428,841**	1,770,444
Others	**1,735,562**	2,393,314
	107,061,006	68,598,312

27. GENERAL AND ADMINISTRATIVE EXPENSES

	2025	2024
Salaries, wages and benefits	**455,875,588**	356,543,261
Maintenance and material	**63,185,372**	74,165,764
Professional fees	**48,362,587**	23,970,905
Insurance portal fees	**30,048,612**	16,061,854
Depreciation (notes 6 & 7)	**23,966,843**	14,026,865
Utilities	**16,725,710**	16,622,252
Insurance	**12,737,104**	8,772,007
White land tax*	**12,108,030**	--
Permissions and licenses	**12,033,496**	10,091,391
Amortization (note 8)	**9,133,293**	3,624,075
Hospitality & Entertainment	**8,218,766**	1,974,204
Provision for expired inventory (note 11)	**6,441,156**	762,910
Board of Directors and related committees' remunerations (note 13)	**5,057,575**	4,895,000
Procurement penalties	**4,842,526**	--
Training and development	**3,640,969**	6,968,035
Bank Charges	**2,860,204**	1,145,941
Stationery	**1,850,580**	3,002,264
Operating rental	**1,210,804**	12,989
(Reversal) Provision for Prepayments and other current assets (Note 12)	**(3,761,097)**	3,404,500
Others	**25,163,514**	19,744,264
	739,701,632	565,788,481

* The amount represents White Land Tax related to Care Shield Holding Company (a subsidiary), which is related to years 2023, 2024, and 2025. Claims related to these years were received during 2025.

28. OTHER INCOME

	2025	2024
Gains resulting from valuation of in-kind consideration in a real estate fund (Note 9-5)	**51,434,877**	--
Subsidize, technical and scientific support	**17,972,828**	9,551,804
Rental	**13,428,740**	6,899,149
Catering	**2,271,112**	2,923,802
Dividends received	**12,090**	11,875
Loss from disposal of property and equipment	**(433,737)**	(51,301)
Purchase bargain from acquisition (Note 32)	**4,968**	--
Others	**4,777,917**	5,731,301
	89,468,795	25,066,630

All amounts are presented in Saudi riyals unless otherwise indicated

29. BASIC AND DILUTED EARNINGS PER SHARE

Basic earnings per share ("EPS") is calculated by dividing the profit for the year attributable to equity holders of the Group by the weighted average number of ordinary shares outstanding during the year.

The diluted earnings per share is same as the basic earnings per share as the Group does not have any dilutive equity instruments and as a result diluted EPS is equal to the basic EPS for years ended 31 December 2025 and 31 December 2024.

	2025	2024
Profit for the year, attributable to the shareholders	**538,268,320**	**471,202,060**
Weighted average number of ordinary shares	**101,184,855**	**97,537,454**
Basic and diluted earnings per share	**5.32**	**4.83**

30. CONTINGENCIES AND COMMITMENTS

Capital commitments

As at 31 December 2025, the Group had capital commitments relate construction contracts and expansion of healthcare facilities amounting to SR 490 million (31 December 2024: SR 758 million).

Contingent liabilities

1. As at 31 December 2025, the Group has potential liabilities in the form of bank guarantees amounting to SR 60 million issued on behalf of the Group in the ordinary course of business (31 December 2024: SR 56 million).
2. There are Letter of credits issued by the Group amounting to SR 26 million as on 31 December 2025 (31 December 2024: SR 40 million).

31. CLASSIFICATION OF FINANCIAL INSTRUMENTS, FAIR VALUE MEASUREMENT, AND RISK MANAGEMENT

Classification of financial assets and liabilities

	31 December 2025	
	Carrying Value	**Fair Value**
Assets		
Trade receivables	**1,196,422,012**	**1,196,422,012**
Unbilled revenue	**8,926,101**	**8,926,101**
Due from related parties	**6,649,339**	**6,649,339**
Cash and cash equivalents	**210,565,408**	**210,565,408**
Financial assets at fair value through other comprehensive income	**875,932**	**875,932**
	1,423,438,792	**1,423,438,792**
Liabilities		
Long Term Murabaha Financing	**2,942,933,467**	**2,942,933,467**
Long term lease liability	**125,950,619**	**125,950,619**
Long-term payable	**1,424,772**	**1,424,772**
Trade payables and others	**410,047,867**	**410,047,867**
Short Term Murabaha Financing	**615,413,564**	**615,413,564**
Current portion of long term Murabaha financing	**204,235,856**	**204,235,856**
Short term lease liability	**45,490,047**	**45,490,047**
Due to Related Parties and others	**1,921,495**	**1,921,495**
Accrued expenses and other current liabilities	**267,347,137**	**267,347,137**
	4,614,764,824	**4,614,764,824**

All amounts are presented in Saudi riyals unless otherwise indicated

	31 December 2024	
	Carrying Value	Fair Value
Assets		
Trade receivables	775,300,018	775,300,018
Unbilled revenue	11,763,873	11,763,873
Due from related parties and others	9,411,089	9,411,089
Cash and cash equivalents	166,324,649	166,324,649
Financial assets at fair value through other comprehensive income	997,504	997,504
	963,797,133	963,797,133
Liabilities		
Long Term Murabaha Financing	1,188,059,098	1,188,059,098
Long term lease liability	91,973,456	91,973,456
Long-term payable	2,016,666	2,016,666
Trade payables and others	318,352,924	318,352,924
Short Term Murabaha Financing	527,710,016	527,710,016
Current portion of long term Murabaha financing	181,086,034	181,086,034
Short term lease liability	34,143,051	34,143,051
Due to Related Parties and others	1,876,081	1,876,081
Accrued expenses and other current liabilities	199,906,982	199,906,982
	2,545,124,308	2,545,124,308

A fair value measurement assumes that the asset or liability is exchanged in an orderly transaction between market participants to sell the assets or transfer the liability at the measurement date under current market conditions. The carrying values of all financial assets and liabilities reflected in these consolidated financial statements approximate their fair value.

31.1 Fair value measurement

The Group measures some financial instruments, such as Equity instruments at fair value through other comprehensive income at fair value at each consolidated statement of financial position date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits from the asset’s highest and best use or by selling it to another market participant that would utilize the asset in its highest and best use. The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities measured at fair value or disclosed in the financial statements are classified in the hierarchy of fair value levels. The following is an explanation:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly unobservable.

The following table shows the analysis of items carried at fair value according to the level of the fair value hierarchy:

	31 December 2025		
	Level 1	**Level 2**	**Level 3**
Financial assets at fair value through other comprehensive income	**875,932**	**--**	**--**

	31 December 2024		
	Level 1	Level 2	Level 3
Financial assets at fair value through other comprehensive income	997,504	--	--

As above investments are quoted and measured at level 1 therefore, no valuation techniques with significant unobservable inputs have been used to measure the financial assets at fair value through other comprehensive income.

31.2 Risk Management Framework

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk Management framework

The Board of Directors has an overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is responsible for developing and monitoring the Group's risk management policies.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits.

Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

Risk management structure

A cohesive organisational structure is established within the Group in order to identify, assess, monitor and control risks.

Board of Directors

The risk governance is the centralised oversight of the Board of Directors providing direction and the necessary approvals of strategies and policies in order to achieve defined corporate goals.

Audit Committee

The Group's Audit Committee oversees how management monitors compliance with the Group's risk management policies and procedures and review the adequacy of the risk management framework in relation to the risks faced by the Group. The Group's Audit Committee will be assisted in its oversight role by Internal Audit. Internal Audit will undertake both regular and ad hoc reviews of risk management controls and procedures, the results of which will be reported to the Audit Committee.

Senior management

Senior management is responsible for the day to day operations towards achieving the strategic goals within the Group's pre-defined risk appetite.

The risks faced by the Group and the way these risks are mitigated by management are summarised below:

Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet it contractual obligations, and arises principally from the Group's Trade receivables, other receivables, unbilled revenue, due from related parties, employee advances, rent receivable and balances with banks.

All amounts are presented in Saudi riyals unless otherwise indicated

Further the Group continues to closely monitors its customers who are going through financial stress and assesses actions such as change in payment terms, discounting of receivables with institutions on no-recourse basis, recognition of revenue on collection basis etc., depending on severity of each case.

The Group has specifically evaluated the potential impact with respect to third party insurance customers, the government and direct customers.

The table below shows the maximum exposure to credit risk for the components of the statement of financial position.

	31 December 2025	31 December 2024
Trade receivables (note 14)	**1,332,049,371**	858,661,206
Unbilled revenue	**8,926,101**	11,763,873
Employees' related loans (note 12)	**15,781,963**	12,933,365
Due from related parties and others (note 13)	**6,649,339**	9,411,089
Cash and cash equivalent (note 15)	**210,565,408**	166,324,649
	1,573,972,182	1,059,094,182

Trade receivables and Unbilled revenue:

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associate with the industry.

The Group attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counter-parties, and continually assessing the creditworthiness of counter-parties.

	Loss rate	**31 December 2025**	Loss rate	31 December 2024
Trade receivables aging				
Less than six months	**4%**	**880,964,271**	5%	594,436,899
Six months to one year	**5%**	**239,033,570**	7%	61,671,162
More than one year	**40%**	**212,051,530**	24%	202,553,145
		1,332,049,371		858,661,206
Unbilled revenue				
Less than three months		**8,926,101**		11,763,873

Due from related parties

The Group is not significantly exposed to any credit risk on its receivables balance which are due from its related parties as all the balances are originated and settled between the Group companies on regular basis.

Rental Receivable and employee receivable

The Group is not significantly exposed to any credit risk on these receivables balances as the group collects rent on a regular basis, and employees' loans are usually less than their dues.

Cash at banks

The Group's bank balances are placed with reputable local banks having sound credit ratings. The Group assess bank balances for impairment using the 12-month approach and believe that it would be able to realise its balances from these banks without any loss to the Group.

Geographical concentration of risks of financial assets with credit risk exposure

The Group's operations are principally in the Kingdom of Saudi Arabia and hence significant exposures are within the Kingdom of Saudi Arabia.

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associate with financial liabilities that are settled by delivering cash or another financial assets. The Group's approach to manage liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation. The Board of Directors ensures that the Group has sufficient funds to meet the Group's external liabilities as they fall due.

All amounts are presented in Saudi riyals unless otherwise indicated

Exposure to liquidity risk

The table below summarises the maturity profile of the Group's financial liabilities at 31 December based on contractual cash flows. The contractual maturities of liabilities have been determined based on the remaining period at the statement of consolidated financial position date to the contractual maturity date.

Maturity Table for financial liabilities

As at 31 December 2025	**Carrying value**	**Less than one year**	**From 1 to 5 years**	**More than 5 years**	**Total**
Murabaha financing	**3,762,582,887**	**973,451,283**	**1,978,541,079**	**1,573,572,646**	**4,525,565,008**
Lease liability	**171,440,666**	**66,371,552**	**32,077,404**	**136,778,148**	**235,227,104**
Long term payables	**1,424,772**	**--**	**1,553,408**	**--**	**1,553,408**
Trade payables and others	**410,047,867**	**410,047,867**	**--**	**--**	**410,047,867**
Accrued expenses and other current liabilities	**267,347,137**	**267,347,137**	**--**	**--**	**267,347,137**
Due to related parties and others	**1,921,495**	**1,921,495**	**--**	**--**	**1,921,495**
	4,614,764,824	**1,719,139,334**	**2,012,171,891**	**1,710,350,794**	**5,441,662,019**

As at 31 December 2024	Carrying value	Less than one year	From 1 to 5 years	More than 5 years	Total
Murabaha financing	1,896,855,148	796,162,430	860,767,639	356,298,544	2,013,228,613
Lease liability	126,116,507	34,143,051	36,292,620	86,879,989	157,315,660
Long term payables	2,016,666	--	2,016,666	--	2,016,666
Trade payables and others	318,352,924	318,352,924	--	--	318,352,924
Accrued expenses and other current liabilities	199,906,982	199,906,982	--	--	199,906,982
Due to related parties and others	1,876,081	1,876,081	--	--	1,876,081
	2,545,124,308	1,350,441,468	899,076,925	443,178,533	2,692,696,926

Interest risk

Financial instruments are exposed to the risks of changes in value as a result of changes in interest rate rates of their assets and liabilities with variable interest, the actual interest rates and the periods which the financial assets and liabilities are reprised or matured are indicated in the related notes.

Market risk

Market risk is the changes in market prices, such as foreign exchange rates and interest rates which will affects the Group's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Foreign currency risk

Foreign currency risk arises from changes and fluctuations in the value of financial instruments as a result of changes in foreign exchange rates, The Group did not perform any transactions of relative importance in currencies other than the Saudi Arabian Riyal, the US Dollar, Since the Saudi riyal is pegged against the US dollar, these transactions do not represent significant currency risk, The Group 's management monitors currency exchange rates and believes that currency risk is immaterial.

Commission rate risk

Commission rate risk is the risk that the value of financial instruments will fluctuate due to changes in the market commission rates. The Group is subject to commission rate risk on its commission bearing liability mainly from financing and borrowings which are at floating rate. The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Group's profit through the impact on floating rate borrowings, no effects on comprehensive income:

All amounts are presented in Saudi riyals unless otherwise indicated

	Increase (decrease) in Interest rate	Total Murabaha liability	Expected impact on comprehensive income
As at 31 December 2025	**± 1%**	**3,762,582,887**	**± 37,625,829**
As at 31 December 2024	± 1%	1,896,855,148	± 18,968,551

32. Acquisition of Al-Salam Medical Services Company "Currently named Dallah Al Khober hospital company" and Al-Ahsa Medical Services Company

On 15 Safar 1446H (corresponding to 19 August 2024), the Company signed a binding share purchase and subscription agreement with Ayyan Investment Company in connection with the purchase of its shares in AlSalam Medical Services Company "Currently named Dallah Al Khober hospital company" (100%) of the Company capital (the owner of Al Salam hospital in Al-Kobar "Currently named Dallah Al Khober hospital company" and the purchase of Ayyan Investment Company shares in Al Ahsa Medical Services Company (97.41%) of the Company capital (the owner of Al Ahsa hospital in Al Ahsa "Currently named Dallah Al Ahsa") by way of share swap in addition to a cash consideration to be paid in accordance with an agreed mechanism.

On 12 Ramadan 1446H (corresponding to 12 March 2025), the Extraordinary General Assembly meeting approved to increase the Company's capital from SR 976,811,660 to SR 1,015,747,690 thereby increasing the number of its shares from 97,681,166 ordinary shares to 101,574,769 ordinary shares, representing an increase of 3.99% in Dallah's current capital, to acquire (a) all shares in Al-Salam Medical Services Company "Currently named Dallah Al Khober hospital company", totaling 20,000,000 ordinary shares with a nominal value of 10 SAR per share; and (b) 14,611,600 ordinary shares with a nominal value of 10 SAR per share in Al-Ahsa Medical Services Company, representing 97.41% of the shares in Al-Ahsa Medical Services Company from the seller, Ayyan Investment Company, in exchange for the issuance of 3,893,603 ordinary shares with a nominal value of 10 SAR per share, also it have been approved the amendments to Article (7) of Dallah health care's bylaws regarding the capital. The new shares were issued on 23 March 2025 (being the acquisition date)

The result of the transaction can be summarized as follows:

a) Effect on share capital:

	31 December 2025		
	Dallah Al Khober hospital company	**Al-Ahsa Medical Service Company**	**Total**
Total outstanding shares of the acquired company	**20,000,000**	**15,000,000**	
Number of shares acquired (a)	**20,000,000**	**14,611,600**	
Exchange ratio as agreed under share swap agreement (b)	**0.0740**	**0.1652**	
Number of shares issued by the Company (a×b)	**1,480,030**	**2,413,573**	**3,893,603**
Par value of shares issued by the company – SAR 10 per share	**14,800,300**	**24,135,730**	**38,936,030**
Add: the Company's shares capital prior to acquisition			**976,811,660**
The Company's share capital post acquisition			**1,015,747,690**

All amounts are presented in Saudi riyals unless otherwise indicated

b) Effect on share premium:

	31 December 2025		
	Dallah Al Khober hospital company	**Al-Ahsa Medical Service company**	**Total**
Number of shares issued by the Company (note a above)	**1,480,030**	**2,413,573**	**3,893,603**
The Company's share price as on 23 March 2025 (date of acquisition)	**125.20**	**125.20**	
Total consideration from shares swap	**185,299,756**	**302,179,340**	**487,479,096**
Less: par value of share issued by the Company – SAR 10 per share (note a above)	**(14,800,300)**	**(24,135,730)**	**(38,936,030)**
Share premium resulting from acquisition	**170,499,456**	**278,043,610**	**448,543,066**
Add: the share premium prior to acquisition			**1,027,432,988**
Share premium post acquisition			**1,475,976,054**

c) Effect on goodwill:

The Company completed the purchase price allocation study, which resulted in recognizing the assets and liabilities of Al-Salam Medical Services Company "Currently named Dallah Al Khober hospital company" and Al-Ahsa Medical Services Company at their fair values as of the acquisition date. Accordingly, goodwill and purchase bargain were recognized as per below:

	As on the acquisition date 23 March 2025 (Unaudited)		
	Dallah Al Khober hospital company	**Al-Ahsa Medical Service company**	**Total**
Total consideration from shares swap agreement (note b above)	**185,299,756**	**302,179,340**	**487,479,096**
Cash consideration	**328,861,601**	**--**	**328,861,601**
Total consideration paid	**514,161,357**	**302,179,340**	**816,340,697**
Less: net of the amount of assets and liabilities acquired at the date of acquisition (note d below)	**(76,353,238)**	**(302,184,308)**	**(378,537,546)**
Goodwill results from acquisition (Note 8))	**437,808,119**		**437,808,119**
Add: Goodwill before acquisition			**114,272,835**
Goodwill after acquisition (Note 8)			**552,080,954**
Purchase bargain from acquisition (Note 28)		**(4,968)**	**(4,968)**

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d) The following table summarises the net amount of assets and liabilities acquired at the date of acquisition and non-controlling interest:

	As on the acquisition date 23 March 2025 (Unaudited)		
	Dallah Al Khobar hospital company	**Al-Ahsa Medical Service company**	**Total**
Property and equipment (Note 6)	**858,459,549**	**422,960,847**	**1,281,420,396**
Accumulated depreciation of property and equipment (Note 6)	**(45,946,995)**	**(216,624,352)**	**(262,571,347)**
Net book value of property and equipment	**812,512,554**	**206,336,495**	**1,018,849,049**
Intangible assets (Note 8)	**41,903,751**	**33,937,177**	**75,840,928**
Intangible assets amortization (Note 8)	**(3,655,178)**	**(3,819,991)**	**(7,475,169)**
Net book value of intangible assets	**38,248,573**	**30,117,186**	**68,365,759**
Right-of-use assets (Note 7)	**74,696,994**	**5,007,256**	**79,704,250**
Accumulated Depreciation of right-of-use assets (Note 7)	**(29,665,972)**	**(324,080)**	**(29,990,052)**
Net book value of right-of-use assets	**45,031,022**	**4,683,176**	**49,714,198**
Cash and cash equivalents	**14,056,750**	**984,293**	**15,041,043**
Trade receivables	**74,428,259**	**106,280,097**	**180,708,356**
Impairment loss allowance (Note 14)	**(2,297,950)**	**(2,882,624)**	**(5,180,574)**
Net trade receivables	**72,130,309**	**103,397,473**	**175,527,782**
Other current assets	**28,929,683**	**220,613,009**	**249,542,692**
Total assets	**1,010,908,891**	**566,131,632**	**1,577,040,523**
Short-term Murabaha financing (Note 18)	**(91,726,313)**	**(107,494,539)**	**(199,220,852)**
Current portion of long-term Murabaha financing (Note 18)	**(29,802,633)**	**(10,411,511)**	**(40,214,144)**
Short-term lease liabilities (Note 19)	**(15,242,532)**	**(1,738,152)**	**(16,980,684)**
Zakat provision (Note 24)	**(222,315)**	**(4,719,891)**	**(4,942,206)**
Other current liabilities	**(270,543,686)**	**(75,930,868)**	**(346,474,554)**
Long-term Murabaha financing (Note 18)	**(479,131,319)**	**(13,245,741)**	**(492,377,060)**
Long-term lease liabilities (Note 19)	**(36,451,963)**	**(1,617,244)**	**(38,069,207)**
Employees benefits (Note 20)	**(11,434,892)**	**(40,756,831)**	**(52,191,723)**
Total liabilities	**(934,555,653)**	**(255,914,777)**	**(1,190,470,430)**
Net amount of assets and liabilities acquired at the date of acquisition	**76,353,238**	**310,216,855**	**386,570,093**
Share of the Group	**100%**	**97.4107%**	
Share of the Group on net amount of assets and liabilities acquired at the date of acquisition	**76,353,238**	**302,184,308**	**378,537,546**
Share of non-controlling interest	**--**	**2.5893%**	
Share of the NCI on net amount of assets and liabilities acquired at the date of acquisition (Note 17)	**--**	**8,032,548**	**8,032,548**

33. OPERATING SEGMENTS

As the operations of the Group are conducted in the Kingdom of Saudi Arabia, accordingly, for management purposes, the Group is organized into business units based on its services and has two reportable segments. Operating segments is determined based on the Group's internal reporting to the Chief Operating Decision Maker ("CODM"). The CODM has been determined to be the Chief Executive Officer as he is primarily responsible for the allocation of resources to segments and the assessment of the performance of each of the segments. The CODM uses underlying income as reviewed at monthly Executive Committees and Performance meetings as the key measure of the segments' results as it reflects the segments' performance for the period under evaluation. Revenue and segment profit is a consistent measure within the Group.

The identified key segments for the group as follow:
- **Medical Facilities and Pharmacies**: include the operations of hospitals, clinics, and both inpatient and outpatient pharmacies.
- **Distribution of Pharmaceutical Products**: include the activities of marketing and distributing medicines and pharmaceutical products.

Also, the revenue disclosed geographically.

All amounts are presented in Saudi riyals unless otherwise indicated

Based on nature of activities:

For the year ended 31 December 2025	**Medical Facilities and Pharmacies**	**Distribution of Pharmaceutical Products**	**Total**
Revenues from service in Medical Facilities	**3,035,883,827**	**--**	**3,035,883,827**
Revenues from sale of pharmaceutical products in medical facilities and pharmacies	**879,421,008**	**--**	**879,421,008**
Revenues from Pharmaceutical Product Distribution	**--**	**151,584,058**	**151,584,058**
Total	**3,915,304,835**	**151,584,058**	**4,066,888,893**
Cost of revenue	**(2,527,948,123)**	**(86,599,091)**	**(2,614,547,214)**
Gross profit	**1,387,356,712**	**64,984,967**	**1,452,341,679**
Operating expenses	**(812,952,947)**	**(83,436,647)**	**(896,389,594)**
Other income, net	**87,473,461**	**1,995,334**	**89,468,795**
Operating profit	**661,877,226**	**(16,456,346)**	**645,420,880**
Finance cost	**(144,889,706)**	**(2,705,744)**	**(147,595,450)**
Share of results from equity accounted investees	**51,701,756**	**--**	**51,701,756**
Zakat	**(8,990,789)**	**--**	**(8,990,789)**
Net profit / (loss) for the year	**559,698,487**	**(19,162,090)**	**540,536,397**
As at 31 December 2025			
Total assets	**8,937,952,353**	**197,352,130**	**9,135,304,483**
Total liabilities	**4,963,219,718**	**52,053,401**	**5,015,273,119**

For the year ended 31 December 2024	Medical Facilities and Pharmacies	Distribution of Pharmaceutical Products	Total
Revenues from service in Medical Facilities	2,221,186,791	--	2,221,186,791
Revenues from sale of pharmaceutical products in medical facilities and pharmacies	832,610,998	--	832,610,998
Revenues from Pharmaceutical Product Distribution	--	151,936,205	151,936,205
Total	3,053,797,789	151,936,205	3,205,733,994
Cost of revenue	(1,903,154,354)	(95,739,872)	(1,998,894,226)
Gross profit	1,150,643,435	56,196,333	1,206,839,768
Operating expenses	(616,021,634)	(48,761,776)	(664,783,410)
Other income, net	22,644,329	2,422,301	25,066,630
Operating profit	557,266,130	9,856,858	567,122,988
Finance cost	(103,276,207)	(3,415,818)	(106,692,025)
Share of results from equity accounted investees	42,967,767	--	42,967,767
Zakat	(17,762,419)	(459,625)	(18,222,044)
Net profit for the year	479,195,271	5,981,415	485,176,686
As at 31 December 2024			
Total assets	6,422,368,945	189,231,223	6,611,600,168
Total liabilities	2,825,493,646	39,086,594	2,864,580,240

Based on geographical segments:

All the Group's operating assets and principal markets of activity are located in the Kingdom of Saudi Arabia.

Revenue by geographic segment	**Central Region**	**West Region**	**East Region**	**Total**
For the year ended 31 December 2025	**3,180,946,861**	**294,096,234**	**591,845,798**	**4,066,888,893**
For the year ended 31 December 2024	**2,932,756,394**	**255,046,305**	**17,931,295**	**3,205,733,994**

All amounts are presented in Saudi riyals unless otherwise indicated

34. CAPITAL MANAGEMENT

The Group's policy is to maintain a strong capital base to maintain creditor and market confidence and to sustain future development of the business. Management periodically monitors the growth of business, asset quality risks and profit margin. Further, the Board of Directors also ensures that the Group has sufficient capital to meet the Group's external liabilities.

The Group's objectives when managing capital are:

To safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by equity. The Group's gearing ratios at the year end of the reporting year were as follows;

	2025	**2024**
Total Loans and Borrowings	**3,762,582,887**	1,896,855,148
Cash and Cash Equivalents	**(210,565,408)**	(166,324,649)
Net debt	**3,552,017,479**	1,730,530,499
Equity	**4,120,031,364**	3,747,019,928
Gearing	**86%**	46%

35. COMPARATIVE FIGURES

Certain comparative period amounts have been reclassified to be consistent with the current year presentation. The reclassifications are as follows:

Consolidated statement of financial position

Description	2024 As presented Before	reclassification	2024 As presented Now
Prepayments and other current asset	165,564,633	(2,950,237)	162,614,396
Accrued expenses and other current liabilities	209,318,573	(2,950,237)	206,368,336

Consolidated statement of profit or loss

Description	2024 As presented Before	reclassification	2024 As presented Now
General and administrative expenses	(562,383,981)	(3,404,500)	(565,788,481)
Impairment loss on trade receivables	(33,801,117)	3,404,500	(30,396,617)

36. SUBSEQUENT EVENTS

- On 15 Ramadan 1447H (corresponding to 04 March 2026), the Company's Board of Directors recommended to the Extraordinary General Assembly to increase the Company's share capital through the issuance of bonus shares at a rate of 20% of the Company's share capital before the increase. Accordingly, the number of the Company's shares after the increase will become 121,889,723 shares instead of 101,574,769 shares before the increase. The Company's share capital after the increase will also become SR 1,218,897,230 instead of SR 1,015,747,690 before the increase.
  The share capital will be increased by SR 93,614,972 from the statutory reserve and SR 109,534,568 from the share premium.
  The Company currently holds 471,821 treasury shares under the employee incentive program. In the event that the necessary approvals for the capital increase are obtained, the number of treasury shares will be adjusted to 566,186 shares in proportion to the percentage of the capital increase.
  This recommendation remains subject to obtaining the approval of the relevant authorities and the Company's Extraordinary General Assembly, which has not yet been convened.
- On 15 Ramadan 1447H (corresponding to 04 March 2026), the Company's Board of Directors decided to distribute interim dividends to shareholders at SR 0.5 per share, amounting to SR 50,551,474, and it will be payable on 05 Shawwal 1447H (corresponding to 24 March 2026**).**

37. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were authorized for issue by the Group's Board of Directors on 15 Ramadan 1447H (Corresponding to 04 March 2026).